PETER PIETILA INS AGENCY INC
3701 SHORELINE #104 A
WAYZATA, MN 55391

FARMERS INSURANCE

Home Insurance New Policy

YIBIAO LU
17756 GEORGE MORAN DR
EDEN PRAIRIE MN 55347-1061

12/8/2014

Dear Yibiao Lu,

Thank you for choosing Farmers Insurance for your home insurance needs.

Enclosed are some important documents for your new policy. Please take some time and carefully review this information, which includes:

- Declaration page – a summary of your insurance coverages, limits, and deductibles
- Your insurance policy form and endorsements
- Detailed reconstruction cost estimate of your home

Please review the features of your home that were used to calculate the assessment in the reconstruction cost estimate. If you find any incorrect or incomplete information, please contact me.

A summary of your premium information is shown below.

Premium at-a-glance

Policy Premium	$1,814.26
Fees	$34.07
Premium and Fees	**$1,848.33**

This is not a bill.
Your bill with the amount due will be mailed separately to your mortgagee company.

We appreciate your business.

Sincerely,

Farmers Insurance
Peter Pietila Ins Agency Inc
(612) 220-0342
ppietila@farmersagent.com

Your Farmers Policy

Policy Number: 98055-49-65
Effective: 12/1/2014 12:01 AM
Expiration: 10/22/2015 12:01 AM

Property Insured

17756 George Moran Dr
Eden Prairie, MN 55347-1061

Your Farmers Agent

Peter Pietila Ins Agency Inc
3701 Shoreline #104 a
Wayzata, MN 55391
(612) 220-0342

To file a claim call
1-800-435-7764

Did you know?

Go Paperless

Save stamps, time and trees....Go Paperless! You can choose to receive your Farmers policy documents and/or billing statement electronically. Enroll at farmers.com and choose the paperless options!

Next Generation Homeowners Declaration Page

FARMERS INSURANCE

Policy Number: **98055-49-65**
Effective: 10/22/2014 12:01 AM
Expiration: 10/22/2015 12:01 AM
Named Insured(s): Yibiao Lu
17756 George Moran Dr
Eden Prairie, MN 55347-1061
bill_y_lu@yahoo.com
Property Insured: 17756 George Moran Dr
Eden Prairie, MN 55347-1061
Underwritten By: Fire Insurance Exchange
4680 Wilshire Boulevard
Los Angeles, CA 90010

Premiums/Fees

Policy Premium	$1,814.26
Fees (*also see Information on Additional Fees below)	
Minnesota Fire Surtax	$9.07
Policy Fee	$25.00
Policy Premium and Fees	**$1,848.33**

This is not a bill.
Your bill with the amount due will be mailed separately.

Information on this declaration is effective 10/22/2014.

Description of Property

Year of Construction	*Construction Type*	*Roof Type*	*Number of Units*	*Occupancy*
1993	Wood Siding over Frame	Wood Shingle/Shake	1	Secondary

Property Coverage

Coverage	*Limit*
Coverage A - Dwelling	$532,000
Extended Replacement Cost	$133,000
Coverage B - Separate Structures	$53,200
Coverage C - Personal Property	$399,000
Contents Replacement Cost	Covered
Coverage D - Loss of Use	$212,800
Identity Fraud Coverage	$30,000
Building Ordinance or Law	$53,200

Liability Coverage

Coverage	*Limit*
Coverage E - Personal Liability	Extended from Primary Policy
Personal Injury	Not Covered
Association Loss Assessment	$1,500
Coverage F - Medical Payments To Others	Extended from Primary Policy

Deductible

	Deductible
Applicable to each covered loss except Windstorm/Hail Loss	$1,000
Windstorm/Hail Loss (2% of Cov. A Limit)	$10,640

Percent Deductibles adjust with changes to Cov. A Limit

Discounts Applied to Policy

Discount Type	Discount Type
Non Smoker	Auto/Home
Group - Scientist	

Mortgagee / Other Interest

1st Mortgagee	Loan Number
Wells Fargo Bank Na #936 ISAOA PO Box 100515 Florence, SC 29502-0515	0384787404

Mortgagee Deductible Clause

Subject to all of the terms and conditions of the policy, the following provision applies only if a mortgagee is named in the declarations or renewal notice, and the mortgagee has foreclosed on the property prior to the date of loss: the applicable deductible for any interest of any mortgagee will be the smallest of the following amounts:

1. The deductible stated in the declarations or renewal notice; or
2. $1,000.

This provision does not apply to loss or damage from earthquake, where a separate, increased deductible applies to loss or damage caused by this peril.

Policy and Endorsements

This section lists the policy form number and any applicable endorsements that make up your insurance contract. Any endorsements that you have purchased to extend coverage on your policy are also listed in the coverages section of this declarations document:
56-5543 2nd ed.; J6898 1st ed.; J6944 1st ed.; 25-2481 6-12

Other Information

- This policy covers a secondary home.
- Mortgagee pays premium for this policy.

*Information on Additional Fees

The "Fees" stated in the "Premium/Fees" box on the front apply on a per-policy, not an account basis. The following additional fees also apply:

1. **Service Charge per installment** (In consideration of our agreement to allow you to pay in installments):
   - For Monthly Recurring Electronic Funds Transfer (EFT) and fully enrolled online billing (paperless): **$0.00** (applied per account)
   - For other Monthly EFT plans: **$2.00** (applied per account)
   - For all other payment plans: **$5.00** (applied per account)

If this account is for more than one policy, changes in these fees are not effective until the revised fee information is provided for each policy.

2. **Late Fee: $10.00** (applied per account)
3. **Returned Payment Charge: $25.00** (applied per check, electronic transaction, or other remittance which is not honored by your financial institution for any reason including but not limited to insufficient funds or a closed account)
4. **Reinstatement Fee: $25.00** (applied per policy)

One or more of the fees or charges described above may be deemed a part of premium under applicable state law.

Countersignature

Authorized Representative

Farmers Next Generation® Homeowners Policy Minnesota

FARMERS INSURANCE

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READ YOUR POLICY CAREFULLY.

- This policy is a legal contract between you (the policyholder) and us (the Company). **It Contains Certain Exclusions.**

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Introduction

Property Coverage:
Under Section I, this policy insures different kinds of property; however, not all property is insured. This policy will not pay for all types of loss or damage or for all causes of loss or damage to covered property. Further, the amount we will pay for covered loss or damage is limited and coverage under this policy is subject to certain conditions. Coverage is dependent upon both the (1) cause of the loss or damage and (2) type of loss or damage.

If loss occurs, refer to Section I - Property Conditions, Duties after loss.

Liability Coverage:
Under Section II, this policy provides coverage for certain damages you become legally obligated to pay because of **bodily injury** or **property damage** resulting from an **occurrence.** If the Declarations or renewal notice indicates **personal injury** coverage applies, this policy provides coverage for certain **personal injuries**. Further, the amount we will pay is limited and coverage under this policy is subject to certain conditions.

If a claim should be made against you, refer to Section II - Liability Conditions, Duties after loss.

Agreement

You agree to pay premiums when due and comply with all applicable terms of this policy. In return, we will insure you for the coverages and limits described except as otherwise indicated in the Declarations or renewal notice. This policy contains all the agreements between you and us. Except as provided herein, its terms, conditions, and exclusions may not be changed or waived except by endorsement issued by us.

Accuracy of Information and Changed Circumstances

The Coverage A **(Dwelling) stated limit** is the most we will pay if your **dwelling** sustains a loss. The actual cost to replace the dwelling at the time of loss may be different. We do not guarantee that the **stated limit** represents the actual cost to replace the **dwelling**. You may have additional insurance as provided under Extensions of Coverage or by endorsement.

You are responsible for selecting the appropriate amount of coverage for:

a. Coverage A (**Dwelling**);
b. Coverage B (**Separate Structures**);
c. Coverage C (Personal Property);
d. Coverage D (Loss of Use);
e. Coverage E (Personal Liability); and
f. Coverage F (Medical Payments to Others).

You agree by acceptance of this policy and payment of premium that all information you have provided to us is accurate. We may provide you with information about your **dwelling** or this insurance. You agree to cooperate in determining if all information is correct and complete. You agree to notify us within 60 days if any information is inaccurate, incomplete or changes. You agree that if any information changes or is determined by you or us to be incorrect or incomplete, we may, during the policy period, re-underwrite this insurance.

Definitions

Throughout this policy, "you" and "your" mean the "named insured" shown in the Declarations or renewal notice and your spouse or registered domestic partner under applicable state law if a resident of the same household with you. Any domestic partner must be registered prior to the date of a loss. "We," "us" and "our" refer to the company providing this insurance. In addition, certain words and phrases are defined as follows:

1. **Actual cash value** - means replacement cost less deduction for physical deterioration and depreciation.

   We may depreciate all replacement costs, including costs of materials and labor.
2. **Aircraft** - means any device used or designed for flight, including the **aircraft's** parts, accessories, or equipment. **Aircraft** does not include model or hobby **aircraft** not used or designed to carry people or cargo.
3. **Annual aggregate limit** - means the total we will pay for all covered **occurrences** combined which happen in each policy period. This limit applies regardless of the number of such **occurrences** or loss events, or **insureds** or claimants.
4. **Bodily injury** - under Section II - Liability Coverage, means physical harm to the body, including physical sickness or disease, to a person other than an **insured**. This includes required care, loss of services and death that results.

   Bodily injury does not include:

   a. psychological injury or effect, including by way of example but not limited to fear, depression, humiliation, anxiety, anguish or distress;
   b. any sexually transmitted disease;
   c. Acquired Immune Deficiency Syndrome (AIDS), AIDS related Complex, Human Immunodeficiency Virus (HIV);
   d. any auto-immune disease;
   e. any viral, bacterial, fungal or parasitic infection; or

f. any symptom, injury, condition, effect, illness or disease related to subsection a. through e. above, or resulting from a **noxious substance**. A symptom, injury, condition, effect, illness or disease includes by way of example but not limited to fatigue, insomnia, stomachaches, headaches or ulcers.

5. **Building structure** - means a fully enclosed structure with walls and a roof.
6. **Business** - means any full or part-time employment, trade, profession, occupation or undertaking. It does not matter whether it is continuous or regular or is an **insured's** principal means of livelihood. Profit motive is irrelevant. **Business** does not include volunteer activities for a not-for-profit organization or public agency for which no money is received other than payment of expenses.
7. **Business property** - means property related to or intended for use in **business**.
8. **Contamination** - means the actual, perceived or suspected existence, presence, proliferation or spread of any **noxious substance**, **nuclear substance**, **pathogen**, **fungus** or pollutant on, to, or in land, **water**, air, buildings, structures or personal property, either on or off the **residence premises**.
9. **Dwelling** - means the primary private residence **building structure** located on the **residence premises**. **Dwelling** does not include **separate structures**.
10. **Earthquake** - means shaking or trembling of the earth, whether caused by volcanic activity, tectonic processes or any other cause.
11. **Earth movement** - means any movement of earth, including by way of example but not limited to any type of soil or rock, or mixture of soil and rock, or fill, regardless of magnitude. Examples of **earth movement** include but are not limited to:
    a. **earthquake**, landslide, debris flow or mudflow, all whether combined with, caused by or resulting from **water**;
    b. collapse, settling, cracking, shrinking, bulging, heaving, subsiding, eroding, sinking, rising, shifting, expanding, or contracting of surface or subsurface earth or fill, all whether combined with, caused by or resulting from **water** and all whether the **water** event is man-made or naturally occurring or is sudden and accidental or is constant, repeating, gradual, intermittent, steady or slow; and
    c. volcanic activity, including eruption, explosion, lava flow and volcanic action.
12. **Fungus** or **fungi** - means any part or form of **fungus**, **fungi**, mold, mildew, spores, wet or dry rot, parasitic microorganisms, myceliel agent or fragment, scents, or mycotoxins. This includes any byproduct of any of the foregoing, whether germinated, whether forming a colony or infestation, whether aerosolized, and whether visible or not visible to the unaided human eye.
13. **Household appliance** - means:
    a. a common household device operated by gas or electric current. This includes by way of example but not limited to an air conditioning unit, heating unit, refrigerator, dishwasher, ice maker, clothes washer, water heater, disposal or dehumidifier, and any hoses directly attached thereto; and
    b. a water softener or filtration system connected to the **residence premises plumbing system**, and any hoses directly attached thereto.

    Household appliance does not include furniture, waterbeds, aquariums or sump pumps. A **household appliance** is not part of the **plumbing system**.
14. **Insured** - means:
    a. you;
    b. permanent residents of your household who are:
        (1) your relatives; or
        (2) other persons under the age of 21 and in the care of any person named above in subsection a. or b.(1);
    c. a student enrolled in school full time, as defined by the school, who was a resident of your household before moving out to attend school, provided the student is under the age of:
        (1) 24 and your relative; or
        (2) 21 and in your care or the care of a person described in b.(1) above; and
    d. under Section II - Liability Coverage, **insured** also means:
        (1) any person or organization legally responsible for animals or watercraft covered under Section II - Liability Coverage which are owned by you, or anyone included in subsection a., b. or c. above. Any person or organization using or having custody of these animals or watercraft in the course of any **business** or without permission of the owner is not an **insured**;
        (2) with respect to any vehicle covered as personal property under Section I of this policy:
            i. any person while using or maintaining the vehicle while engaged in the employment of the **insured**; or
            ii. any other person using the vehicle on an **insured location** with an **insured's** consent.

15. **Insured location** - means:
    a. the **residence premises**;
    b. that part of any other premises, structures and grounds you use as a private residence and:
        (1) which is shown on the Declarations or renewal notice; or
        (2) which you acquire during the policy period for your use as a private residence;
    c. any premises you use in connection with a premises described in subsections 15.a. or 15.b. above;
    d. any part of a premises:
        (1) not owned by an **insured**; and
        (2) where an **insured** is temporarily residing;
    e. vacant land, other than farm land, owned by or rented to an **insured** and shown in the Declarations or renewal notice;
    f. land owned by or rented to you on which a one or two family dwelling is being built as your private residence;
    g. individual or family cemetery plots or burial vaults of an **insured**; and
    h. any part of a premises occasionally rented to an **insured** for other than **business** use, but only when it is actually rented to the **insured**.
16. **Marring** - means any disfigurement, blemish, discoloration, weathering or stretching, or the like, of or to covered property, including by way of example but not limited to scratching, scorching, denting, creasing, gouging, fading, staining, tearing or thinning.
17. **Motor vehicle** - means:
    a. any self-propelled vehicle or any self-propelled machine, whether operable or not, which is designed for movement on land or on land and in **water**, including by way of example but not limited to any type of automobile, hovercraft or air cushion vehicle;
    b. parts, equipment, machinery, furnishings or accessories attached to or located in or upon such vehicle or machine described in subsection a. above; and
    c. any trailer or semi-trailer which is being carried on, towed by, or hitched for towing by a vehicle or machine described in subsection a. above.
18. **Noxious substance** - means any hazardous, toxic, or contaminating solid, liquid, vaporous, gaseous or thermal substance which may cause or result in harm, destruction, damage or injury to the environment or any living thing, or to covered property, the **residence premises** or any other property.

    Noxious substances include by way of example but are not limited to asbestos, silica, radon, fumes, odors, smoke from tobacco products, acids, alkalis, chemicals, carbon monoxide, oil, fuel, fuel oil, gasoline, lead, lead paint, polychlorinated biphenyls (PCBs), solvents or waste, including any residuals, other than commonly available cleaning products found in a residential household which are normally used for cleaning or maintenance of the **dwelling**. Waste includes materials which are to be or have been recycled, reconditioned or reclaimed.

    Noxious substances does not include smoke or fumes from a hostile fire. A hostile fire means one which becomes uncontrollable or breaks out from where it was intended to be.
19. **Nuclear hazard** - means:
    a. a nuclear explosion, including shockwaves, and nuclear reaction and nuclear radiation;
    b. the dispersal or spread of **nuclear substances** or nuclear radiation by any means. These include conventional explosion, fallout, or radioactive contamination, all whether controlled or uncontrolled or whether intended or accidental, however caused; and
    c. the negligent, defective or improper design, construction, operation or maintenance of a nuclear facility or any facility which uses, handles, stores or processes **nuclear substances**.

    Nuclear hazard is also intended to include any other act or omission which results in a **nuclear hazard.**
20. **Nuclear substance** - means any solid, liquid, vaporous, gaseous or thermal substance contaminated by or with nuclear radiation, or which gives off harmful levels of nuclear radiation.
21. **Occurrence** - under Section II - Liability Coverage, means an accident, including exposure to conditions, which occurs during the policy period, and which results in **bodily injury**, **property damage** or **personal injury** during the policy period. Repeated or continuous exposure to the same general conditions is considered to be one **occurrence**.
22. **Pathogen** - means any biological or microbial organism or substance which may cause or result in harm, destruction, damage, injury or disease to any living thing or to property. **Pathogens** include by way of example but are not limited to bacteria, bacterium, viruses, or any part or by-product of

bacteria, bacterium or viruses, including bacterial or viral toxins.

23. **Personal injury** - under Section II - Liability Coverage, means an act or activity of an **insured** which takes place during the policy period which results in injury to another, other than an **insured**, from one or more of the following offenses:
    a. false arrest, wrongful imprisonment or detention;
    b. libel, slander, defamation of character; or
    c. malicious prosecution.

    Personal injury does not include false arrest, wrongful imprisonment or detention in connection with or arising out of molestation, abuse or corporal punishment.
24. **Plumbing system** - means all potable **water** supply and distribution pipes, plumbing fixtures and traps, drainage and vent pipes, and building drains. This includes their respective joints, connections, receptors and potable **water** treating equipment and vents for same, any of which is within the property lines of the premises.

    A **plumbing system** does not include any of the following:
    a. a shower pan;
    b. a roof drainage system, including by way of example but not limited to gutters, drain pipes and downspouts;
    c. a sump or sump pump or sump-pump well;
    d. a leach field or drainage channel; or
    e. that part of any system designed to remove or drain **water** away from the **residence premises** which part is on the **residence premises** but outside of the exterior of any **building structure**.
25. **Property damage** -under Section II - Liability Coverage means direct actual physical injury to or destruction of tangible property, including loss of use resulting from the actual physical injury to or destruction of the property.

    Property damage does not mean:
    a. actual, threatened, feared, constructive or alleged diminution or loss of value or equity;
    b. functional impairment or loss of use of property unless the property has sustained actual physical injury or destruction; or
    c. non-economic damages.
26. **Remediate** - means to:
    a. (1) decontaminate, abate, treat, contain, isolate, remove, extract, clean, mitigate, neutralize, quarantine or detoxify;
       (2) monitor, evaluate, detect, investigate, test or measure for;
       (3) haul away or dispose of; or
       (4) respond in any way to, or assess the effects of

    any **nuclear substance**, **noxious substance**, **pathogen**, **fungus**, or pollutant, or any **contamination**, whether on or off the **residence premises**; or
    b. remove, restore or replace any land, **water**, air, building, structure or personal property which is threatened with or has been affected, damaged, infested, polluted or injured by **contamination**.
27. **Residence employee** - means an employee of an **insured** who performs duties related to the ownership, maintenance or use of the **residence premises**. This includes employees who perform similar duties elsewhere for an **insured**. This does not include employees while performing duties related to a **business** of an **insured**.
28. **Residence premises** - means the **dwelling**, **separate structures** and grounds at the address shown on the Declarations or renewal notice.
29. **Separate structure** - means:
    a. those structures, including buildings, on the **residence premises** set apart from the **dwelling** by clear space or structures only connected to the **dwelling** by a fence, sidewalk, driveway, patio, decking or utility line or similar connection; and
    b. all fences, sidewalks, walkways, driveways, pools, pool cages, piers, wharfs, boat docks and spas on the **residence premises**, whether or not abutting or connected to the **dwelling**.
30. **Stated limit(s)** - means the dollar amounts stated as coverage limits on the Declarations or renewal notice for the different types of coverages.
31. **Water** - means **water** (H2O) alone, whether in liquid, frozen, or vapor form, or any liquid, sewage or sludge which contains **water**, whether or not **contaminated** or combined with or containing other chemicals, particulates, microorganisms or impurities. **Water** includes but is not limited to rain, snow, sleet, slush, ice, dampness, vapor, condensation, moisture, steam and humidity.
32. **Water** - **reverse flow** - means the flow of **water** through any sewage, septic or drainage system, or a drain, drain line or drainage channel, or a sump or sump pump, or similar system designed to drain or pump **water** away from the premises when the flow of **water** is in the opposite or reverse

direction from that which the system, drain line, channel, sump or pump was designed to drain or pump.

Section I - Property Coverage

Section I - Loss or Damage Insured

Coverage A (Dwelling), Coverage B (Separate Structures) and Coverage C (Personal Property)

We insure accidental direct physical loss or damage to that property described in Section I - Types of Property Insured. Loss or damage means actual physical injury to or destruction of the property. Loss or damage does not include functional impairment or the loss of use of property unless the property has sustained actual physical injury or destruction. Loss or damage does not include any decrease in the market value of the property, however measured or determined. Loss or damage to property is caused by perils or causes of loss or damage. Loss or damage to property consists of certain types of loss or damage.

This policy does not insure all types of loss or damage to covered property. This policy does not insure against all causes of loss or damage to covered property. We do not insure covered property for the types of loss or damage described in Section I - Uninsured Loss or Damage and Excluded Causes of Loss or Damage. We do not insure loss or damage to covered property directly or indirectly caused by, arising out of or resulting from the excluded causes of loss or damage set forth in Section I - Uninsured Loss or Damage and Excluded Causes of Loss or Damage, whether the excluded cause of loss or damage occurs on or away from the **residence premises**.

We do not provide Loss of Use or any Extensions of Coverage for any uninsured type of loss or damage or any excluded cause of loss or damage, unless specifically provided otherwise.

Section I - Types of Property Insured

Coverage A (Dwelling)

We insure:

1. the **dwelling**. This includes wall-to-wall carpeting attached to the **dwelling**; and
2. material and supplies owned by you on or adjacent to the **residence premises** for use in construction of the **dwelling** or a **separate structure**.

Coverage B (Separate Structures)

We insure **separate structures**. This includes wall-to-wall carpeting attached to **building structures**.

We do not insure:

1. **separate structures** which are intended for use in **business** or which are actually used in whole or in part for **business** purposes by an **insured** or any other person; or
2. **separate structures** rented or held for rental to any person not a tenant of the **dwelling,** unless used solely as a private garage.

Coverage A (Dwelling) and Coverage B (Separate Structures)

We do not insure:

1. land or the value of land, including by way of example but not limited to the cost to restore, replace, repair or rebuild land. This includes land on which the **dwelling** or a **separate structure** is located. If a covered cause of loss or damage causes covered damage to the **dwelling** or a **separate structure** and to the land on the **residence premises**, we do not cover any increased cost to repair or replace the **dwelling** or **separate structure** because of damage to the land. Land includes trees, shrubs, plants and lawns on land. However, we do provide limited coverage for trees, shrubs, plants and lawns under Section I -Extensions of Coverage, Trees, shrubs, plants, and lawns; or
2. any type of warranty, service or maintenance contract covering property.

Coverage C (Personal Property)

We insure personal property owned or used by an **insured** anywhere in the world. At your request after a loss, we will also insure personal property:

1. owned by others while the property is on the part of the **residence premises** occupied by an **insured**. However, property of tenants not related to that **insured** is not covered; and
2. owned by and in the control of a **residence employee** while in the service of an **insured** anywhere in the world.

Special Limits on Certain Personal Property

Special limits of insurance apply to certain types of personal property. The limits shown below do not increase the Coverage C **stated limit**. The limit for each numbered group is the total limit for any one loss event for all property in that group. The lowest applicable special limit shall apply to personal property that falls into more than one group.

1. **Property usually located at an insured's residence other than the residence premises.**

   15% of the Coverage C **stated limit** on personal property which is usually located at an **insured's** residence other than the **residence premises**. This aggregate limit shall apply to all personal property usually located at the **insured's**

other residence, even if the property is also subject to one or more of the specific special limits following. This limit does not apply to personal property in a newly acquired principal residence for the first 45 days after moving begins.

2. **Jewelry, watches, precious and semi-precious stones, and furs.**

   $1,000 limit on any one article and $5,000 total limit on theft of jewelry, watches, precious and semi-precious stones and furs, including articles for which fur represents the principal value. This applies even if such items are considered artwork or used as decoration.

3. **Firearms.**

   $3,000 limit on theft of firearms. This includes their scopes or mounts whether attached or not, and all other firearm related equipment and ammunition.

4. **Business property, other than electronic data processing equipment, media and data.**

   Coverage for loss or damage to **business property**, other than computers, electronic data processing equipment, and accessories and recording or storage media used with the foregoing, is limited to:

   a. $2,500 limit while on the **residence premises;** and
   b. $500 limit while away from the **residence premises**.

5. **Electronic data processing equipment, media and data.**

   a. $5,000 limit on computers and electronic data processing equipment and accessories and recording or storage media used with the foregoing, whether or not it is **business property.** Computers, electronic data processing equipment, and recording or storage media that cannot be replaced with other of like kind and quality on the current retail market is not covered.
   b. $1,000 limit for the cost of replacing data stored on computers, electronic data processing equipment, personal electronic entertainment equipment, communications equipment, accessories, electronic media or recording or storage media. Data includes by way of example but is not limited to any type of software or text, image, video or audio files.

6. **Money, gift certificates and cards, scrip and metals.**

   $200 limit on money, gift certificates or cards, stored value cards, scrip, smart cards or any card used as money (other than bank issued credit or debit cards), bank notes, medals, coins, bullion, platinum, gold and silver other than gold ware and silverware. This includes collections of all such property.

7. **Securities, deeds, valuable papers and stamps.**

   $1,500 limit on securities, deeds, evidences of debt, letters of credit, notes other than bank notes, documents, manuscripts, passports, tickets, stamps and stamp collections. This limit includes the costs to research, replace or restore the information from the lost or damaged material.

8. **Silverware, gold ware, platinumware and pewter ware.**

   $3,000 limit on theft of silverware, gold ware, platinumware and pewter ware. This includes articles for which any such metal represents the principal value.

9. **Imported rugs, carpets and tapestries.**

   $5,000 any one article and $10,000 total limit on theft of imported rugs, carpets and tapestries. This applies even if such items are artwork or decoration. Imported means made or manufactured in whole or in part outside of the United States.

10. **Cards and comic books.**

    $200 limit per trading or collectible card or comic book and $2,500 total limit on all cards or comic books. This includes sports cards, game cards and trading cards of any kind.

11. **Watercraft and windsurfers.**

    $3,000 limit on watercraft and windsurfers. This includes their trailers, furnishings, equipment and outboard motors, which are not being carried on, towed by or hitched for towing by a **motor vehicle**.

12. **Trailers.**

    $1,500 limit on trailers not used with watercraft or windsurfers, which are not being carried on, towed by or hitched for towing by a **motor vehicle**.

13. **Motor vehicle parts.**

    $2,000 limit on **motor vehicle** parts, equipment, machinery, furnishings or accessories not attached to or located in or upon any **motor vehicle**.

Section I - Types of Personal Property Not Insured

We do not insure:

1. personal property separately described and specifically insured in this or any other policy;

2. any type of warranty, service or maintenance contract covering property;
3. any animals or creatures, including by way of example but not limited to mammals, birds, fish, reptiles, insects and spiders;
4. watercraft and windsurfers, including their trailers, furnishings, equipment and outboard motors while being carried on, towed by or hitched for towing by a **motor vehicle**;
5. trailers while being carried on, towed by or hitched for towing by a **motor vehicle**;
6. **motor vehicles**, however, we do cover:
   a. a motorized golf cart not subject to **motor vehicle** registration:
      (1) while on the golf course and used for golfing purposes; or
      (2) while in a private residential community, including its public roads upon which a motorized golf cart can legally travel, which is subject to the authority of a property owners association and contains the **residence premises**;
   b. lawn, garden or farm equipment which is not designed for use on public roads and which is principally used on the **residence premises**;
   c. recreational vehicles designed principally for off road recreational use that are only used on the **residence premises**, including by way of example but not limited to, all terrain vehicles; and
   d. a motorized assisted living device designed to assist the disabled;
7. any sound, video, mapping, tracking or communications equipment or device or system designed for reproducing, detecting, receiving, transmitting, recording or playing data, maps, location, sound, videos or pictures, and designed to be operated or capable of being operated from the electrical system of any **motor vehicle**, motorized land conveyance, watercraft, camper or home trailer while such equipment, device or system is in, on, or installed in a **motor vehicle**, motorized land conveyance, watercraft, camper or home trailer. This equipment includes by way of example but not limited to: citizen band radios, radio or cellular telephones, radio transceivers, radio transmitters, two way mobile radios, scanning monitor receivers, radar or laser detectors, car radio receivers, tape or disc players or recorders, global positioning system devices and any accessories, antennas, tapes, discs, software, reels, cassettes, cartridges, carry cases or other devices used with such equipment, device or system;
8. **aircraft** or self-propelled missiles;
9. property located in that part of the **residence premises** which is regularly rented or held for rent to others;
10. property of an **insured** which is rented or is available for rent to others when it is away from the **residence premises;**
11. property of roomers, boarders or tenants not related to an **insured**;
12. **water**, electricity or gas; or
13. any property which is illegal for an **insured** to possess under federal or state law.

Coverage D - Loss of Use

The **stated limit** for Loss of use is the total limit for all Additional living expense, Loss of rents and Prohibited use coverages for any one loss event.

1. **Additional living expense.**

   If covered accidental direct physical loss or damage to the **dwelling** makes the **dwelling** uninhabitable by you, we will reimburse you for the reasonable and necessary increase in living expense incurred by you. This coverage is for your household to maintain its normal standard of living it had at the time of the loss event. Reimbursement for additional living expense will be for the shortest time needed to (a) repair or replace the loss or damage to the **dwelling**, or (b) permanently relocate, but in no event for more than 24 months. Additional living expense that raises your standard of living will not be reimbursed. Upon our request, you must provide receipts for expenses incurred.
2. **Loss of rents.**

   If covered accidental direct physical loss or damage to covered property makes that part of the **residence premises** rented to others or held for rental by you untenantable, we cover the loss of rents less any expense that does not continue during the loss period. We pay for the shortest time needed to repair or replace the damaged property but in no event for more than 12 months. Loss of rents due to cancellation of a lease or agreement is not covered.
3. **Prohibited use.**

   We provide Additional living expense or Loss of rents as described above for no more than two weeks if a civil authority prohibits you from use of the **residence premises** because of actual direct physical damage to a neighboring premises, which damage would have been covered under this policy if the damage had occurred to the **residence**

premises. Prohibited use coverage does not apply to threatened damage.

The time periods in subsections 1, 2, and 3 above are not limited by cancellation, renewal or non-renewal of this policy.

No deductible applies to subsections 1, 2, and 3 above.

Section I - Extensions of Coverage

We will insure you for the Extensions of Coverage as described below except as otherwise indicated in the Declarations or renewal notice. Unless otherwise stated, the following Extensions of Coverage are subject to all the policy terms, exclusions, deductibles, and conditions.

1. **Limited water coverage.**
   a. We provide limited coverage for direct physical loss or damage to covered property from direct contact with **water**, but only if the **water** results from:
      (1) the build-up of ice on portions of the roof or roof gutters on a **building structure**;
      (2) hail, rain, snow, or sleet entering through an opening in the roof or wall of a **building structure** only if the opening is first caused by damage from the direct force of the following:
         i. fire;
         ii. lightning;
         iii. explosion (other than nuclear explosion);
         iv. riot or civil commotion;
         v. **aircraft** or vehicles;
         vi. vandalism or malicious mischief;
         vii. collapse of a **building structure** or structural part of the **building structure**;
         viii. falling objects; or
         ix. windstorm.

      The foregoing specified causes of loss are subject to the terms and limitations set forth in Section I - Uninsured Loss or Damage and Excluded Causes of Loss or Damage, subsection B. Excluded Causes of Loss or Damage and in any other Extension of Coverage, for any such specified cause of loss or extension of coverage. A roof or wall does not include a temporary roof or wall structure or any kind of terporary tarp, sheeting or other covering.
      (3) the freezing of and a discharge, leakage or release of **water** as a result of the freezing from the **plumbing system**, heating, air-conditioning or automatic fire protection system or a **household appliance** within the **dwelling** or a **separate structure**. We only cover the **water** damage from freezing if you have used reasonable care to:
         i. maintain heat in the **dwelling** or **separate structure**; or
         ii. shut off the **water** supply and drain the **plumbing system**, other system or **household appliance** of **water**;
      (4) a sudden and accidental discharge, eruption, overflow or release of **water**, other than a **water - reverse flow**:
         i. from within any portion of:
            (a) a **plumbing system**;
            (b) a heating or air conditioning system;
            (c) an automatic fire protection system; or
            (d) a **household appliance**; and
         ii. provided that the discharge, eruption, overflow or release of **water** occurs from a part or section of those items described in subsection (4) i. above that is located:
            (a) above the surface of the ground on the **residence premises**; or
            (b) within a **building structure**, including by way of example, within the basement or building's slab; or
      (5) a sudden and accidental discharge from any item described at subsection (4) i. above caused by the following specified causes of loss. The following specified causes of loss are subject to the terms and limitations set forth in Section I - Uninsured Loss or Damage and in Excluded Causes of Loss or Damage, subsection B. Excluded Causes of Loss or Damage and in any other Extension of Coverage, for any such specified cause of loss or extension of coverage:
         i. fire;
         ii. lightning;
         iii. explosion (other than nuclear explosion);
         iv. riot or civil commotion;
         v. **aircraft** or vehicles;
         vi. vandalism or malicious mischief;
         vii. collapse of a **building structure** or structural part of the **building structure**;
         viii. falling objects; or
         ix. windstorm.
   b. The limited coverage for **water** damage described at subsection a. (4) above applies even if the sudden and

accidental discharge, eruption, overflow or release of **water** is caused by:

(1) faulty, inadequate or defective planning, design, specifications, workmanship, maintenance, repairs, construction or materials;

(2) an inherent vice, latent defect in, or a quality in or of the system or **household appliance**, that causes it to damage or destroy itself;

(3) wear and tear or mechanical breakdown;

(4) corrosion, deterioration, decay or rust;

(5) animals or pests; or

(6) pressure by, push from or presence of any trees, shrubs, plants or lawn, or any root system from any trees, shrubs, plants or lawn.

c. A sudden and accidental discharge, eruption, overflow or release of **water** does not include a constant or repeating gradual, intermittent or slow release of **water**, or the infiltration or presence of **water** over a period of time. We do not cover any **water**, or the presence of **water**, over a period of time from any constant or repeating gradual, intermittent or slow discharge, seepage, leakage, trickle, collection, infiltration or overflow of **water** from any source, even if from the usage of those items described in subsection a. (4) i. above, whether known or unknown to any **insured**.

d. If **water** damage covered under subsection a. (4) above occurs on the **residence premises**, we will pay the reasonable cost of tearing out and replacing that part of a **building structure** actually necessary for you to gain access and repair that portion of the system or **household appliance** from which the **water** suddenly and accidentally discharged, erupted, overflowed or was released. Any costs incurred under this subsection are subject to the applicable **stated limit**.

e. Under subsections a. (4) and (5) above, we do not cover loss or damage to any system or **household appliance** from which the **water** discharged, erupted, released or overflowed.

f. We do not cover any loss or damage to a foundation, slab, concrete floor, concrete pad or patio or to a foundation wall, foundation fill, or to pavement, including by way of example but not limited to any resulting movement, settling, cracking, bulging, shrinking, heaving, erosion or expanding.

g. This is not additional insurance and all loss or damage under this coverage is subject to the applicable Coverage A, B, or C **stated limit** or other limit of insurance.

2. **Extended replacement cost - Coverage A.**

We will pay you up to the Extended replacement cost **stated limit**, if necessary, to repair, rebuild or replace covered loss or damage to the **dwelling**.

For Extended Replacement Cost coverage to apply at the time of loss or damage to the **dwelling**, you must have complied with each of the following conditions, as applicable:

a. you must have notified us within 60 days of any inaccuracy or change in any information you have provided us regarding the physical characteristics of your **dwelling**;

b. you must have notified us within 60 days of any inaccuracy or change in any information we have provided to you regarding the physical characteristics of your **dwelling**;

c. you must have notified us within 60 days of the start of any physical changes which costs or will increase the replacement cost of your **dwelling** by $5,000 or more. This includes additions or remodeling; and

d. you must actually repair, rebuild or replace the **dwelling**.

If you do not comply with conditions a., b., and c. above prior to covered direct physical loss or damage to the **dwelling** and with condition d. above after the direct physical loss or damage, then this coverage will not apply.

This is additional insurance. It will only apply if the Coverage A (**Dwelling**) **stated limit** is insufficient to repair, rebuild or replace covered loss or damage to the **dwelling** at the same location. If you do elect to rebuild at a different location, then any Extended replacement cost coverage available will only be based on the costs to repair, rebuild or replace the **dwelling** as if at the same location.

This coverage only applies to loss or damage to the **dwelling** excluding any increased costs from enforcement of any building ordinance or law. We will not consider any increased costs from enforcement of any building ordinance or law when we determine whether this coverage applies.

3. **Contents replacement cost - Coverage C.**

a. If the Declarations or renewal notice indicates that Contents replacement cost coverage applies, then covered loss or damage to covered personal property, except for those types of personal property described in subsection c. below, will be settled at replacement cost without deduction for depreciation, but for no more than the smallest of the following:

(1) any **stated limit** or other limit of insurance under this policy that applies to the property;

(2) the replacement cost of that part of the property damaged for equivalent construction with materials of like kind and quality;

(3) the amount actually and necessarily spent to repair or replace damage to the property; or

(4) the loss to the interest of the **insured** in the property.

b. We will pay no more than the **actual cash value** of the property at the time of loss until actual repair or replacement is completed. Except for those types of personal property described in subsection c. below, you may make a claim for any additional amount on a replacement cost basis. To do so the property must have been repaired or replaced in accordance with and subject to Section I - Property Conditions, Replacement cost settlement.

c. Covered loss or damage to the following types of personal property, whether or not attached to buildings or any structure, will be settled as shown below in subsection d:

(1) property which cannot be replaced;

(2) property not in workable condition;

(3) property, the age or condition of which has rendered it either obsolete or unusable for the purpose for which it was originally intended;

(4) paintings, etchings, pictures, tapestries, art glass windows, or other bona fide works of art or rarity, historical value or artistic merit, including by way of example but not limited to valuable rugs, statuary, marble, rare books, manuscripts, bronzes, porcelains, rare glass or bric a brac;

(5) antiques, including by way of example but not limited to furniture, metalware, tools, toys, and bric a brac;

(6) photographs or negatives, or articles whose age or history contribute substantially to their value, including by way of example but not limited to memorabilia, souvenirs, and collectibles and collector's items;

(7) a motorized golf cart not subject to **motor vehicle** registration:

i. while on the golf course and used for golfing purposes; or

ii. while in a private residential community, including its public roads upon which a motorized golf cart can legally travel, which is subject to the authority of a property owners association and contains the **residence premises**;

(8) lawn, garden or farm equipment principally used on the **residence premises**;

(9) recreational vehicles designed principally for off road recreational use that are only used on the **residence premises**, including by way of example but not limited to, all terrain vehicles;

(10) any watercraft or camp, home or utility trailer not being towed or carried on a **motor vehicle**; and

(11) **motor vehicle** parts, equipment, machinery, furnishings or accessories not attached to or located in or upon any **motor vehicle**.

d. The covered types of personal property shown above in c. will be settled for no more than the smallest of the following:

(1) **actual cash value**;

(2) fair market value;

(3) any **stated limit** or other limit of insurance under this policy that applies to the property; or

(4) the amount actually and necessarily spent to repair or replace damage to the property.

e. The Coverage C **stated limit** is the most we will pay regardless of the number of items of personal property which are involved in a loss event.

f. We may repair or replace damaged property with equivalent like kind and quality property.

4. **Building ordinance or law**.

We will pay for the increased costs that you actually and necessarily incur when you repair, rebuild or replace covered loss or damage because of or resulting from the enforcement of any governmental ordinance, code, regulation, order or law, hereinafter "building law". We will pay up to the percentage shown on the Declarations or renewal notice of the applicable Coverage A (**Dwelling**) or Coverage B (**Separate Structures**) **stated limit**. The building law must be in force at the time of your repair or replacement of the damaged property.

a. The enforcement of the building law must require:

(1) upgrades to or regulation of the construction, demolition, renovation, repair, or replacement of that part of the **dwelling** or a **separate structure** which has sustained covered loss or damage;

(2) the total demolition and regulation of the reconstruction of the undamaged part of the **dwelling** or a **separate structure** necessary to repair the damaged part of the **dwelling** or **separate structure** and to bring the undamaged part of the **dwelling** or **separate structure** into conformity with the building law;

(3) the renovation or replacement of the undamaged part of the **dwelling** or a **separate structure** necessary to complete the repair or replacement of that part of the **dwelling** or **separate structure** which has sustained the covered loss or damage; or

(4) modifications to any undamaged part of the **dwelling** or **separate structure** as a direct result of the covered loss or damage.

b. We do not cover:

(1) the loss in value to the **dwelling** or a **separate structure** due to the requirements of any building law;

(2) the cost to repair, replace, rebuild, stabilize or otherwise restore land;

(3) the costs to comply with any building law which requires an **insured** or others to **remediate** the **dwelling** or a **separate structure**;

(4) the increased cost to repair or rebuild if the **dwelling** or **separate structure** is not intended for the same type of occupancy as the pre-loss event **dwelling** or **separate structure**;

(5) the increased cost to repair or rebuild the **dwelling** or **separate structure** until it is actually repaired or rebuilt.

(6) those increased costs of construction, renovation, repair or replacement that are a result of your failure to timely undertake repairs or replacement of loss or damage;

(7) the costs of demolition if you should fail to reasonably mitigate, repair or replace the loss or damage and as a result the **dwelling** or **separate structure** then becomes subject to demolition; or

(8) those costs of complying with any building law that you were required to comply with before the covered loss or damage and which building law you failed to comply with.

c. If you should rebuild the **dwelling** or a **separate structure** at another location, then we will only pay under this coverage the increased costs that you would have incurred to repair, rebuild or replace the **dwelling** or **separate structure** at the same location.

This Building ordinance or law coverage is additional insurance.

5. **Debris removal**.

We will reimburse you for the reasonable and necessary expenses you incur to remove debris caused by or resulting from covered loss or damage.

If the amount of loss or damage, including reimbursable debris removal expense, exceeds the applicable Coverage A, B or C **stated limit** for the type of damaged property, we will reimburse you up to an additional 5% of the applicable **stated limit** for the excess reimbursable debris removal expense you have incurred. This is additional insurance which is excess of the applicable **stated limit**.

Debris removal does not include and we will not reimburse any expenses incurred by you or anyone acting on your behalf to:

a. **remediate** any **contamination**; or

b. remove, restore or replace any **contaminated** land, **water**, air, buildings, structures or personal property, either on or off the **residence premises**.

This coverage does not apply to any debris removal of any tree, shrub, plant or lawn, unless the tree, shrub, plant or lawn first damaged covered Coverage A or B property. Then the removal of the tree, shrub, plant or lawn will be included in this Debris removal coverage.

6. **Trees, shrubs, plants and lawns**.

Subject to the limitations set forth in Section I - Uninsured Loss or Damage and Excluded Causes of Loss or Damage, we cover trees, shrubs, plants and lawns on the **residence premises** for loss or damage resulting from the following perils:

a. fire or lightning;

b. explosion;

c. riot or civil commotion;

d. **aircraft** and vehicles, not owned or operated by any **insured**;

e. vandalism and malicious mischief; and

f. theft.

Property grown for **business** purposes is not covered.

The limit for this coverage, including any necessary debris removal, for any one loss event will not exceed 5% of the Coverage A **stated limit**. No more than $750 will be paid for any one tree, shrub or plant. This coverage is additional insurance and is not subject to the Coverage A **stated limit**.

Except as provided therein, debris removal for trees, shrubs, plants and lawns is not covered under Section I - Extensions of Coverage, **Debris removal**.

7. **Fire department service charge**.

We will pay up to $750 for fire department charges incurred when the fire department is called to save or protect covered property from covered loss or damage.

This coverage is additional insurance. It is not subject to the applicable Coverage A, B, or C **stated limits**.

No deductible applies to this coverage.

8. **Emergency removal of property**.

   We pay for loss or damage from any cause to covered property:

   a. while being removed from a premises actually and imminently endangered by a cause of loss or damage which is not excluded under this policy; and
   b. while removed for not more than 30 days from the date of removal.

   This is not additional insurance. All loss or damage under this coverage is subject to the applicable Coverage C **stated limit** or any Special Limits on Certain Personal Property.

9. **Identity fraud**.

   a. We will pay up to $1,500 for loss sustained by an **insured** caused by any of the following:
      (1) a knowing transfer or use, without lawful authority, of a means of identification of an **insured**. The transfer or use must be with intent to commit, or to aid or abet, any unlawful activity that constitutes a violation of federal law or a felony under any applicable state or local law;
      (2) theft or unauthorized use of a credit, debit or fund transfer card issued to that **insured**;
      (3) forgery or alteration of a check or other negotiable instrument made or drawn upon an **insured's** account; or
      (4) acceptance in good faith by an **insured** of counterfeit United States or Canadian paper money.

   No deductible applies to this subsection a.

   b. We will reimburse up to $28,500 for the costs and expenses identified below. For coverage to apply:
      (1) the costs or expenses must be the direct result of an act described in subsection a. which first commences during the policy period;
      (2) the act described in subsection a. must be reported to us within 90 days after the date of discovery; and
      (3) the costs or expenses must be incurred within 12 months after the date of discovery.

   Reimbursable costs and expenses are:

      (1) costs for notarizing fraud affidavits or similar documents for financial institutions or similar credit grantors, credit agencies or card issuers that have required that such affidavits be notarized;
      (2) costs for certified mail to law enforcement agencies, credit bureaus, financial institutions or similar credit grantors or card issuer;
      (3) lost wages as a result of time taken off from work to meet with, or talk to, law enforcement agencies, credit agencies, card issuers and/or legal counsel, or to complete fraud affidavits, or to attend legal proceedings, up to a maximum payment of $250 per day for a maximum of ten days;
      (4) loan application fees for re-applying for a loan(s) when the original application is rejected solely because the lender received incorrect credit information;
      (5) reasonable attorney fees incurred for:
         i. defense of lawsuits brought against that **insured** by merchants, card issuers or their collection agencies;
         ii. the removal of any criminal or civil judgments wrongly entered against that **insured**; and
         iii. challenging the accuracy or completeness of any information in a consumer credit report; and
      (6) charges incurred for long distance telephone calls to merchants, law enforcement agencies, financial institutions or similar credit grantors, or credit bureaus, or card issuers to report or discuss any of the subsection a. loss events.

   c. For subsection b., we will reimburse all costs or expenses up to $28,500 that exceed $100 in the aggregate. The additional duties of the **insured** after loss are to:
      (1) cooperate in the investigation of the covered event and provide receipts, bills or other records that support the **insured's** claim for reimbursement under this extension of coverage; and
      (2) immediately notify the police. As applicable, notify the issuer of the card, credit bureau, credit reporting agency, or credit grantor. Failure to comply with the terms and conditions of the reporting requirements of the grantor of credit will void coverage for any further loss after such failure.

   d. Any act of or series of acts committed by any person(s) or in which any person(s) is involved or implicated is considered to be one loss event, even if a series of acts continues into subsequent policy periods.

   e. We do not cover subsection b. loss or expense:
      (1) arising from or in connection with any **business** engaged in by any **insured**;

(2) arising from any fraudulent, dishonest or criminal act by an **insured**, any person acting in concert with an **insured**, any authorized representative of an **insured**, or any **residence employee**, regardless of whether any of these act alone or in collusions with others; or

(3) arising out of use of any card, identification or information by a resident of the **residence premises** or a relative of the **insured** which enables any of the activities in subsection a. above.

Regardless of the number of **insureds** or loss events, our total aggregate limit of insurance under this extension of coverage for loss, costs and expense for any policy period is $30,000.

10. **Collapse of building structure or structural part of the building structure**.

We cover loss or damage to covered property caused by collapse of a **building structure** or any structural part of the **building structure**. The collapse must be a direct result of:

a. weight of ice, snow, sleet or rain which collects on a roof;

b. weight of persons, animals, contents or equipment; or

c. defective methods or materials used in construction, repair, remodeling or renovation, but only if the collapse occurs in the course of such construction, repair, remodeling or renovation.

The collapse must be a sudden and accidental, actual and complete falling down or caving in of the **building structure** or of a structural part of the **building structure**. Substantial impairment of a **building structure** or structural part of a **building structure** without a sudden and accidental, actual and complete falling down or caving in is not a collapse. Collapse does not mean imminent or threatened collapse. Collapse does not include movement, settling, cracking, bulging, shrinkage, heaving or expansion, whether natural or otherwise, of the **building structure** or a structural part of the **building structure** unless an actual and complete falling down or caving in has occurred. Collapse coverage does not apply to **separate structures** which are not **building structures**.

This is not additional insurance. All loss or damage under this coverage is subject to the applicable Coverage A, B or C **stated limit** or any Special Limits on Certain Personal Property.

11. **Food spoilage**.

We will pay for the cost of loss or damage to contents in a refrigerator or freezer on the **residence premises** which thaws or spoils due to interruption of electrical utility service. The interruption must originate off the **residence premises**. This coverage is subject to the Coverage C **stated limit**.

12. **Artificially generated electrical current**.

We will pay for loss or damage caused by a sudden and accidental surge or decrease in artificially generated electrical current, whether on or off the **residence premises**, to any electrical components or wiring of or in covered personal property. We will pay no more than $1,000 per loss for all personal property damaged per loss event.

13. **Arson, burglary or vandalism and malicious mischief reward**.

We will pay up to the amount specified below for information which leads to an arson, burglary or vandalism and malicious mischief conviction in connection with loss or damage to property covered by this policy:

a. a $5,000 limit for arson;

b. a $1,000 limit for burglary; and

c. a $500 limit for vandalism and malicious mischief.

In no event will the amount of the reward exceed the total amount of the loss or damage. We will pay no more than the highest limit for any one loss event. No limit shall be increased, regardless of the number of persons providing information for that loss, the number of claims being made for that loss or the fact that the loss may involve loss or damage to property under Coverages A, B and C.

No deductible applies to this coverage.

14. **Lock re-keying**.

We will reimburse you up to $500 for expense you incur to re-key locks on exterior doors of the **dwelling** or a **separate structure** located on the **residence premises**, when the keys to those locks are part of a covered loss

No deductible applies to this coverage.

Section I - Uninsured Loss or Damage and Excluded Causes of Loss or Damage

A. Uninsured Types of Loss or Damage.

We do not insure property covered under this policy, provide Loss of Use coverage or extend coverage under any Extensions of Coverage, against any loss or damage consisting or composed of any of the uninsured types of loss or damage listed below, whether on or off the **residence premises**, however caused, except as may be stated otherwise.

Uninsured types of loss or damage are never covered regardless of whether any acts, omissions or decisions of any

persons, group, organization or governmental body or any other cause of loss or event contributes concurrently or in any combination or sequence to cause the uninsured type of loss or damage, except as may be stated otherwise.

Uninsured types of loss or damage can occur in combination with insured loss or damage. If any uninsured type of loss or damage does occur in combination with or in sequence to insured loss or damage, the uninsured type of loss or damage is not covered. However, if a loss event involves both insured types of loss or damage and uninsured types of loss or damage, the insured types of loss or damage will be covered and the uninsured types of loss or damage will not be covered.

1. **Water damage**.

   We do not insure loss or damage consisting of, composed of or which is **water** damage, except as covered under Section I - Extensions of Coverage, **Limited water coverage** and unless if by fire or lightning.

2. **Nuclear damage**.

   We do not insure loss or damage consisting of or composed of nuclear radiation. Further, we do not insure any **remediation** of or provide any Loss of Use or any Extensions of Coverage for expenses directly or indirectly due to, arising out of or resulting from **remediation** of nuclear damage.

3. **Construction defect**.

   We do not insure loss or damage which is a construction defect in the **dwelling** or a **separate structure**, except as covered under Section I - Extensions of Coverage, **Collapse of building structure or structural part of the building structure** and unless if by fire or lightning.

4. **Inherent vice or latent defect**.

   We do not insure loss or damage which is an inherent vice or latent defect in covered property.

5. **Contamination**.

   We do not insure loss or damage consisting of, composed of or which is **contamination** unless if by fire or lightning. However, even if by fire or lightning, nuclear **contamination** is not insured. Further, we do not insure any **remediation** or provide any Loss of Use or any Extensions of Coverage for expenses directly or indirectly due to, arising out of or resulting from **remediation** of any **contamination**.

6. **Breakage, impairment, corruption or failure of personal property**.

   We do not insure loss or damage which is the breakage, impairment, corruption or failure of personal property, including any electronic or mechanical part of the personal property. However, we do insure breakage, impairment or failure of covered personal property which is directly caused by, arises out of or results from the following causes of loss, subject to the terms and limitations set forth in subsection B. Excluded Causes of Loss or Damage and in Extensions of Coverage, for any such cause of loss or extension of coverage:

   a. fire or lightning;
   b. windstorm or hail;
   c. smog, smudging or smoke (all if sudden and accidental);
   d. explosion (other than nuclear explosion);
   e. riot or civil commotion;
   f. **aircraft** or vehicles;
   g. vandalism or malicious mischief;
   h. collapse of a **building structure** or structural part of the **building structure**;
   i. theft;
   j. falling objects;
   k. weight of ice, snow or sleet which causes damage to personal property contained in a building; or
   l. **limited water coverage** as set forth in Extensions of coverage.

7. **Wear and tear or mechanical breakdown**.

   We do not insure loss or damage which is wear and tear or mechanical breakdown, unless if by fire or lightning.

8. **Marring**.

   We do not insure loss or damage which is **marring** of covered property. However, we do insure **marring** which is directly caused by, arises out of or results from the following causes of loss, subject to the terms and limitations set forth in subsection B. Excluded Causes of Loss or Damage and in Extensions of Coverage for any such cause of loss or extensions of coverage:

   a. fire or lightning;
   b. windstorm or hail;
   c. smog, smudging or smoke (all if sudden and accidental);
   d. explosion (other than nuclear explosion);
   e. riot or civil commotion;

f. **aircraft** or vehicles;
g. vandalism or malicious mischief;
h. collapse of a **building structure** or structural part of the **building structure**;
i. theft;
j. falling objects;
k. weight of ice, snow or sleet which causes damage to personal property contained in a building; or
l. **limited water coverage.**

9. **Corrosion, deterioration, decay or rust**.

   We do not insure loss or damage consisting of, composed of or which is corrosion, deterioration, decay or rust, unless if by fire or lightning.

10. **Fungi**.

    We do not insure loss or damage consisting of, composed of or which is **fungi**, unless if by fire or lightning. Further, we do not insure any **remediation** or provide any Loss of Use or any Extensions of Coverage for expenses directly or indirectly due to, arising out of or resulting from **remediation** of **fungi**.

11. **Pathogen**.

    We do not insure loss or damage consisting of, composed of or which is a **pathogen**, unless if by fire or lightning. Further, we do not insure any **remediation** or provide any Loss of Use or any Extensions of Coverage for expenses directly or indirectly due to, arising out of or resulting from **remediation** of a **pathogen**.

12. **Movement, settling, cracking, bulging, shrinking, heaving or expanding**.

    We do not insure loss or damage consisting of, composed of or which is the movement, settling, cracking, bulging, shrinking, heaving or expanding of any part of covered property, whether natural or otherwise. However, we do insure the movement, settling, cracking, bulging, shrinking, heaving, or expanding of any part of the **dwelling** or a **separate structure** which is directly caused by, arises out of or results from the following causes of loss, subject to the terms and limitations set forth in subsection B. Excluded Causes of Loss or Damage and in Extensions of Coverage for any such cause of loss or extensions of coverage:

    a. fire or lightning;
    b. windstorm or hail;
    c. explosion (other than nuclear explosion);
    d. **aircraft** or vehicles;
    e. fall of trees or limbs, including felling, topping or trimming of trees;
    f. falling objects; or
    g. collapse of a **building structure** or structural part of the **building structure**.

    Movement, settling, cracking, bulging, shrinking, heaving or expanding of any part of covered property includes by way of example but not limited to foundations, foundation fill material, foundation piers, foundation beams, slabs, pads, patios, walls, floors, ceilings, roofs, roof structures, walks, driveways, pavements, curbs, fences, retaining walls, bulkheads, spas or swimming pools.

13. **Building ordinance or law**.

    We do not insure the increased costs of enforcement of any governmental ordinance, code, regulation, order or law which requires upgrades to or regulates construction, demolition, renovation, repair, or replacement of the **dwelling** or a **separate structure**, except as provided in Section I - Extensions of Coverage, **Building ordinance or law**.

    However, we do insure sudden and accidental direct physical loss or damage which results from order of governmental or public authorities to prevent the spread of a fire if the fire results from a cause of loss which would have been covered under this policy.

B. Excluded Causes of Loss or Damage.

Except as provided in section A. above, we do not insure property covered under this policy, provide Loss of Use coverage or extend coverage under any Extensions of Coverage for loss or damage directly or indirectly caused by, arising out of, or resulting from any of the excluded causes of loss or damage listed below, whether occurring on or away from the **residence premises**. Acts or omissions of persons can cause, contribute to, combine with or aggravate any of the excluded causes of loss or damage to cause loss or damage. Such loss or damage is not covered regardless of any acts, omissions or decisions of any persons, group, organization or governmental body or any other causes or other events which aggravate or contribute concurrently or in any combination or sequence with the excluded cause of loss or damage.

However, we do insure sudden and accidental direct physical loss or damage by fire, when the fire results from an excluded cause of loss or damage, except when the fire results from Governmental action, Failure to protect covered property, Destructive acts, **Nuclear hazard**, meteorites or Vandalism

or malicious mischief or arson if the **dwelling** is vacant. We do insure loss or damage consisting of or composed of **water** damage that results from a covered fire.

1. **Earth movement**.

   We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from **earth movement**.

2. **Water**.

   Except as Section I -Extensions of Coverage, **Limited water coverage**, provides for limited coverage for **water** damage, we do not insure loss or damage directly or indirectly caused by, arising out of or resulting from **water**. By way of example, this exclusion includes but is not limited to:

   a. a **water** - **reverse flow**;
   b. flood, including debris flow and mud flow, any form of surface **water**, waves, tsunami, seiche, tidal **water**, tidal waves, storm surge or overflow or escape of a body of **water**, or spray from any of these, whether or not driven by wind; or
   c. **water** from any source whatsoever above, on or below the surface of the ground, whether natural or otherwise.

   This **water** exclusion applies even if **water** combines or contributes in any way with any other excluded cause of loss or damage hereunder to cause loss or damage, including by way of example but not limited to **fungi** or any **noxious substance**.

3. **Nuclear hazard**.

   We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from **nuclear hazard**.

4. **Neglect or lack of maintenance or failure to make repairs**.

   We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from neglect of property, or lack of maintenance or the failure to make repairs.

5. **Faulty, inadequate or defective planning, zoning, maintenance, repairs, manufacture or construction**.

   We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from faulty, inadequate or defective planning, zoning, development, surveying, siting, engineering, design, specifications, workmanship, maintenance, servicing, repairs, manufacture, construction, grading, compaction, or materials. The foregoing activities are excluded whether performed for, as part of the process of, or used in construction, remodeling, maintenance or repair of part or all of any property (including land, structures or any improvements), whether the property is on or off the **residence premises** and whether the property is insured under this policy.

   However, see Extensions of Coverage, **Limited water coverage** for limited coverage for **water** damage.

6. **Inherent vice or latent defect**.

   We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from any inherent vice or latent defect in property or a quality in or of the property that causes it to damage or destroy itself, whether or not such defect or quality could have been discovered upon reasonable inspection.

   However, see Extensions of Coverage, **Limited water coverage** for limited coverage for **water** damage.

7. **Contamination**.

   We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from **contamination**. Further, we do not insure any **remediation** or provide any coverage under Loss of Use or any Extensions of Coverage, directly or indirectly due to, arising out of, or resulting from **contamination**.

8. **Wear and tear or mechanical breakdown.**

   We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from wear and tear or mechanical breakdown.

   However, see Extensions of Coverage, **Limited water coverage** for limited coverage for **water** damage.

9. **Corrosion, deterioration, decay or rust**.

   We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from corrosion, deterioration, decay or rust.

   However, see Extensions of Coverage, **Limited water coverage** for limited coverage for **water** damage.

10. **Fungi**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from **fungi** or the discharge, dispersal, migration, release or escape of any **fungi,** whether combined with, caused by, or resulting from **water**. Further, we do not insure any **remediation** or provide any coverage under Loss of Use or any

Extensions of Coverage directly or indirectly due to, arising out of, or resulting from **remediation** of **fungi**.

11. **Noxious substance**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from any **noxious substance** or the discharge, dispersal, seepage, migration, release or escape of any **noxious substance**. This exclusion applies whether the **noxious substance** was used legally, normally or intentionally for the purpose for which it was intended and whether its use was confined within the general area of its intended use. Further, we do not insure any **remediation** or provide any coverage under Loss of Use or any Extensions of Coverage directly or indirectly due to, arising out of, or resulting from **remediation** of any **noxious substance**.

12. **Pathogen**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from any **pathogen** or the discharge, dispersal, migration, release or escape of any **pathogen**. Further, we do not insure any **remediation** or provide any coverage under Loss of Use or any Extensions of Coverage directly or indirectly due to, arising out of, or resulting from **remediation** of a **pathogen**.

13. **Building ordinance or law**.

    Except as otherwise provided in Section I - Extensions of Coverage, **Building ordinance or law**, we do not insure loss or damage directly or indirectly caused by, arising out of or resulting from the enforcement of any ordinance or law which requires upgrades to or regulates the construction, demolition, renovation, repair or replacement of the **dwelling** or a **separate structure.**

14. **Governmental action**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from the confiscation, seizure, quarantine or destruction of your property by any governmental authority or order of governmental authority. However, we do insure direct physical loss or damage caused by acts of confiscation, seizure, damage or destruction of your property by any governmental authority or order of governmental authority taken at the time of a fire to prevent its spread, if the fire would be otherwise covered under this policy.

15. **Power interruption**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from the interruption of power or other utility service which originates off the **residence premises**, except as provided in Section I - Extensions of Coverage, **Food spoilage coverage**.

16. **Artificially generated electrical current**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from a sudden and accidental surge from or increase or decrease in artificially generated electrical current to any electronic components or wiring of or in personal property, except as provided in Section I - Extensions of Coverage, **Artificially generated electrical current**.

17. **Failure to protect covered property**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from the failure or neglect of an **insured** to use all reasonable means to mitigate or abate covered loss or damage or to protect covered property at and after the time of loss or damage, or when property is endangered by a covered cause of loss or damage.

18. **Destructive acts**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from any destructive act directed against civilian, military or governmental personnel or property by any domestic or foreign person(s), organization(s), entity or entities, government or any quasi-governmental body. This exclusion includes by way of example but not limited to war, undeclared war, civil war, terrorism, insurrection, seizure, rebellion and revolution, all whether or not by military or paramilitary personnel, and including any direct or indirect consequence of these, including **contamination**. This exclusion applies even if the loss or damage is sustained by property not intended or expected.

    This exclusion does not include acts of vandalism or malicious mischief.

19. **Theft**.

    We do not insure for theft:

    a. from a **dwelling** that is under construction, until after the construction has been completed and when the **dwelling** is occupied by an **insured**;
    b. from a **dwelling** that is undergoing remodeling or renovation unless the **dwelling** is occupied by an **insured**;
    c. from the **residence premises**, if the **dwelling** has been vacant for a period of more than 30 days prior to the theft. The **dwelling** will be deemed vacant if all legal occupants have moved from the **dwelling** and

a predominant amount of the personal property has been removed from the **dwelling**;

d. committed by any **insured** or at the direction of an **insured**;

e. committed by any person regularly residing at an **insured location**. However, theft committed by a **residence employee** is covered;

f. from any part of a **residence premises** rented to others;

g. of property from any other premises owned, occupied by or rented to any **insured** unless an **insured** is temporarily residing there at the time of the theft. Property of a student **insured** is covered at a residence away from the **residence premises** if the student has been at the residence any time 45 days before the theft;

h. of watercraft, campers or trailers and their equipment, furnishings and outboard motors when off the **residence premises**; or

i. of property while off the **residence premises** and unattended in any **motor vehicle** or trailer, other than a public conveyance, unless all its doors, windows and other openings are closed and locked and there are visible marks of forcible entry. Property is not unattended when an **insured** has entrusted the keys of the vehicle to a custodian; or

j. of building materials and supplies while off the **residence premises**.

Theft includes attempted theft and loss of property from a known place when it is likely that the property has been stolen.

Theft does not include mysterious disappearance of property, a shortage of property or property taken by someone who claims a right to such property under a written or oral agreement with any **insured** unless a court of law rules that a theft did occur. To be covered under this policy, any theft must be immediately reported to the local police.

20. **Mysterious disappearance**.

We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from mysterious disappearance of property. Mysterious disappearance is an unexplained loss of property, including by way of example but not limited to losing or misplacing property.

21. **Vandalism or malicious mischief or arson if the dwelling is vacant**.

We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from:

a. vandalism or malicious mischief if the **dwelling** has been vacant beyond a period of 30 days; or

b. arson if the **dwelling** has been vacant beyond a period of 60 consecutive days.

The **dwelling** will be deemed vacant if all legal occupants have moved from the **dwelling** and a predominant amount of the personal property has been removed from the **dwelling**. A **dwelling** under construction is not considered vacant. A **dwelling** is not considered under construction if it has already been built and is being remodeled or renovated. A **dwelling** will be considered occupied only if it is with your knowledge and approval.

22. **Animals or pests**.

We do not cover the cost to remove and we do not insure loss or damage directly or indirectly caused by, arising out of or resulting from animals or other pests, including by way of example but not limited to bats, rats, mice and other rodents, bees, termites and moths, vermin, birds, fish, reptiles, insects and spiders.

However, see Extensions of Coverage, **Limited water coverage** for limited coverage for **water** damage.

23. **Smog, smudging or smoke**.

We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from smog, smudging or smoke:

a. from the manufacturing of controlled substances, or from legal or illegal commercial, manufacturing, industrial or agricultural operations, whether on or off the **residence premises**; or

b. which originates on the **residence premises**, unless the smog, smudging or smoke is sudden and accidental.

24. **Pressure by trees, shrubs, plants or lawns**.

We do not insure loss or damage directly or indirectly caused by, arising out of or resulting pressure by, push from or presence of (1) any trees, shrubs, plants or lawn, or (2) any root system from any trees, shrubs, plants or lawn.

However, see Extensions of Coverage, **Limited water coverage** for limited coverage for **water** damage.

25. **Soil conditions**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from any condition of soil including by way of example but not limited to corrosion, erosion, chemicals, compounds, elements, formation of crystals, suspensions or gels of or in the soil, or saturation of the soil.

26. **Windstorm or hail**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from windstorm or hail:

    a. to personal property covered under this policy contained in a **building structure** caused by sand or dust unless the direct force of wind or hail first damaged the **building structure** causing an opening in a roof or outside wall and then sand or dust enters through this opening and causes the loss or damage to the personal property;

    b. to watercraft and windsurfers, including their trailers, furnishings, equipment and outboard motors, unless inside a fully enclosed **building structure** at the time of loss or damage; or

    c. to cloth awnings, greenhouses and their contents, radio and television towers, masts and antennas, including lead-in wiring, and wind chargers and windmills.

27. **Aircraft or vehicles**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from **aircraft** or vehicles unless such loss or damage is caused by or results from direct, actual physical contact by an **aircraft,** or any refuse from an **aircraft,** or a vehicle with covered property or with a building or other structure containing the covered property.

28. **Falling objects**.

    a. We do not insure loss or damage to covered property caused by or resulting from objects which fall as a result of any cause of loss or damage excluded in this policy.

    b. We do not insure loss or damage to personal property contained in a **building structure** caused by:

        i. a falling object, unless the direct force of the falling object first damages the roof or an outside wall of the **building structure**; or

        ii. sand or dust, unless the direct force of a falling object first damages the roof or an outside wall of the **building structure** and then sand or dust enters through this opening and causes the loss or damage to personal property.

    c. We do not insure loss or damage to covered property caused by or resulting from meteorites.

    Loss or damage to the falling object itself is not covered.

29. **Collapse**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from collapse. However, we do provide limited coverage for collapse of a **building structure** or any structural part of a **building structure** in Section I - Extensions of Coverage, **Collapse of building structure or structural part of the building structure.**

30. **Sales or transfers of property**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from any type of sale or transfer of real or personal property, including by way of example but not limited to internet transactions, conversion, fraud or other deceptive practices.

31. **Pollution**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from pollution. Further, we do not insure any **remediation** or provide any coverage under Loss of Use or any Extensions of Coverage directly or indirectly due to, arising out of, or resulting from **remediation** of pollution.

    This exclusion does not apply to loss or damage caused by smoke or fumes from a hostile fire. As used in this exclusion, a hostile fire means one which becomes uncontrollable or breaks out from where it was intended to be.

32. **Refinishing, renovating, repairing, restoring or retouching of personal property**.

    We do not insure loss or damage to covered personal property directly or indirectly caused by, arising out of or resulting from the refinishing, renovating, repairing, servicing, restoring or retouching of such personal property.

33. **Weather conditions**.

    We do not insure loss or damage directly or indirectly caused by, arising out of, or resulting from a weather condition if the weather condition contributes to or combines with any cause of loss or damage excluded under this policy to cause loss or damage.

34. **Movement, settling, cracking, bulging, shrinking, heaving or expanding**.

    We do not insure loss or damage directly or indirectly caused by, arising out of or resulting from the movement, settling, cracking, bulging, shrinking, heaving or expanding of any part of the **dwelling** or any other structure, whether or not resulting from natural events.

35. **Malfunction or failure of software or a computer system.**

    We do not cover loss or damage directly or indirectly caused by, arising out of or resulting from the malfunction or failure of software or a computer system, whether or not a result of error or malicious activities.

36. **Extremes of temperature.**

    We do not insure loss or damage directly or indirectly caused by arising out of or resulting from extremes of temperature, including freezing, except as provided in Extensions of Coverage, **Limited water coverage**.

Section I - Property Conditions

1. **Limits of insurance**.
   a. The **stated limits** or any other applicable limits of insurance in this policy are the maximum amounts we will pay for covered loss or damage. You are responsible for selecting the **stated limits**.
   b. Subject to **stated limits**, with each covered loss or damage to the **dwelling** or any **separate structure**, the amount of insurance coverage applicable to that structure will be reduced by the estimated amount of the loss or damage until reconstruction or repairs are actually made. Except as otherwise provided in this policy, any endorsement attached hereto, or any renewal hereof, as reconstruction or repairs are made, the amount of insurance coverage for that structure will be reinstated up to the applicable **stated limit**.
   c. In the event of a total loss to the **dwelling**, the limit of insurance for the **dwelling** represents the total value of the **dwelling.**
2. **Insurable interest**.

   Subject to the terms for settling loss, if more than one person has an insurable interest in the covered property, the most we will pay is an amount equal to the **insured's** interest.
3. **Duties after loss**.

   In case of covered loss or damage to property, it is your responsibility to:
   a. give prompt written notice to us or our agent without unnecessary delay. In case of theft, you must also immediately notify the police. In case of loss under Section I - Extensions of Coverage, **Identity fraud**, unauthorized use of a credit card, debit card, fund transfer card, forgery, or acceptance of counterfeit money, you must also immediately notify the police, and as appropriate, the issuer of the card, credit bureau, credit reporting agency, and the credit grantor;
   b. protect the property from further damage. You should make any reasonable and necessary emergency repairs or perform loss mitigation needed to protect the property from further damage. See Section I - Property Conditions, Emergency services following. Failure to perform emergency repairs or loss mitigation may result in continuing or secondary damages which may not be covered under this policy. Keep records and receipts of your costs;
   c. make a list of all damaged or destroyed personal property showing in detail the quantity, description, **actual cash value**, replacement cost, age and amount of loss. Attach all bills, receipts and related records that support your figures;
   d. cooperate with our investigation of the loss or damage and our verification of any repairs or replacement of the damaged property;
   e. as often as we reasonably require:
      (1) exhibit the damaged property or provide us and our representatives access to the damaged property;
      (2) provide us with records, documents and other information we may request, and permit us to make copies. This includes by way of example but not limited to banking records, asset, debt and income information, records and documents, credit history and other financial records, prior insurance losses with us or other insurers, or receipts for property damaged, if obtainable;
      (3) submit to examinations under oath by us at such times and places as we reasonably designate and sign the same, within a reasonable time of our request, after having been informed of your right to counsel and that your answers may be used against you in later civil or criminal proceedings. We may require the examinations to be conducted separately and apart from any other person defined as you or **insured.** Each examinee must sign a transcript of his or her examination. Submission to a requested examination(s) under oath is a condition precedent

to recovery under this policy. Our denial of your claim shall not act as a waiver of our right to examinations under oath; and

(4) produce representatives, employees, members of your household or others for interviews or examinations under oath to the extent it is within your power to do so; and

f. send us within 60 days after our request, your signed, sworn statement showing:

(1) date, time, location and cause of loss or damage;

(2) interest of all **insureds** and all others in the property involved;

(3) all legal claims against the property involved including lienholders;

(4) all other insurance and any warranty, service or maintenance contract which may cover the loss or damage (see Other insurance condition following);

(5) all information we request to investigate the claim;

(6) changes in title or occupancy of the property;

(7) specifications and detailed repair estimates of any damaged structure;

(8) a list of stolen, damaged or destroyed personal property described in subsection 3.c. above;

(9) receipts and records that support additional living expenses and loss of rents; and

(10) evidence which states the amount and cause of loss to support a claim under Extensions of Coverage, **Identity fraud** coverage.

To the extent an **insured**, other than you, is a direct beneficiary of coverage under this policy, that **insured** shall also be responsible for complying with the duties and responsibilities set forth in this policy respecting loss or damage, including examinations under oath and production of information requested by us.

4. **Emergency services**.

In the event your covered property sustains covered loss or damage, you should protect the property from further damage. You should make any reasonable and necessary emergency repairs or perform loss mitigation needed to protect the property from further damage (hereinafter "emergency services"). We will reimburse the reasonable costs you incur for necessary emergency services for covered loss or damage to mitigate or abate the cause of the loss or damage.

This is not additional insurance. Expenses incurred for emergency services are subject to the applicable Coverage A, B or C **stated limit** and any Special Limits on Certain Personal Property that apply to the property. Emergency services do not include mitigation or abatement of non-covered loss or damage, including by way of example but not limited to **remediation** of any **nuclear substance**, **noxious substance**, **pathogen**, **fungus**, or pollutant, or any **contamination**.

If you report loss or damage to covered property and if you have not already performed reasonably necessary emergency services, we may at our sole discretion assist you in obtaining such emergency services prior to our determination as to whether the loss or damage is covered under this policy. Although we are not obligated to do so, we may advise you of or we may dispatch an independent contractor to perform such emergency services. However, you are responsible for contracting for such emergency services with the independent contractor. You have the right to reject the independent contractor providing such emergency services at any time. The provision of such emergency services will not prejudice our right to later deny coverage for any loss or damage.

It is solely your responsibility to direct or manage the activities of any independent contractor providing emergency services. We make no representation as to the skill or experience of any independent contractor. We do not warrant the workmanship of any independent contractor. We are not responsible for the acts or failures to act of any independent contractor. We do not assume liability for injuries sustained by you or any other person resulting from or arising from any repair, attempted repair or from any loss mitigation.

5. **How we settle covered loss**.

a. Coverage A (**Dwelling**) and Coverage B (**Separate Structures**).

(1) Settlement for covered loss or damage to the **dwelling** or **separate structures**, except for the types of property described at subsection (2) below, whether or not fastened to the **dwelling** or **separate structure**, will be settled at replacement cost, without deduction for depreciation, but for no more than the smallest of the following:

i. the applicable **stated limit** or other limit of insurance under this policy that applies to the damaged or destroyed **dwelling** or **separate structure(s)**;

ii. the replacement cost of that part of the **dwelling** or **separate structure(s)** damaged for equivalent construction with materials of like kind and quality

and for the same occupancy and use as on the **residence premises**;

iii. the amount actually and necessarily spent to repair or replace damage to the **dwelling** or **separate structure(s)** intended for the same occupancy and use; or

iv. the loss to the interest of the **insured** in the property.

When the cost to repair or replace damaged property is more than $2,500, we will pay no more than the **actual cash value** of the loss until actual repair or replacement is completed.

(2) Loss settlement for fences, decks and above ground swimming pools will be settled at **actual cash value**, but for no more than the smallest of the following:

i. the **stated limit** or other limit of insurance under this policy that applies to the damaged or destroyed fence, deck or above ground swimming pool; or

ii. the loss to the interest of the **insured** in the property.

b. Coverage C (Personal Property).

Unless Section I - Extensions of Coverage, **Contents Replacement Cost** coverage applies, covered loss or damage to personal property will be settled for no more than the smallest of the following:

(1) **actual cash value**;

(2) fair market value;

(3) any **stated limit** or other limit of insurance under this policy that applies to the property; or

(4) the amount actually and necessarily spent to repair or replace damage to the property.

The Coverage C **stated limit** is the most we will pay regardless of the number of items of personal property which are involved in a loss event.

6. **Replacement cost settlement**.

For any loss to property which may be settled on a replacement cost basis, you have 12 months from the date of our first payment toward **actual cash value** to make a claim for any additional amounts due for replacement cost settlement. The property must be actually repaired or replaced to make a claim for replacement cost.

7. **Other insurance**.

This insurance is excess of any other insurance covering the same property. If property sustains loss or damage covered by the other insurance, we will pay only the portion of the loss covered under this policy that is in excess of the limit of insurance that applies under the other insurance. For purposes of this provision, other insurance includes any type of warranty or service or maintenance contract.

If insurance is issued by us or any other member company of the Farmers Insurance Group of Companies covering the loss or damage, the loss or damage will only be payable under the single policy providing the highest limit of insurance.

8. **Deductible clause**.

We pay for loss or damage when a covered loss exceeds the deductible(s) amount applicable to the property. The deductible(s) applies separately to each loss or damage event. All limits of insurance, including special limits, will be applied after application of the appropriate deductible(s) to the loss or damage.

9. **Loss or damage to a pair or set**.

We may elect to:

a. pay for the repair or replacement of any part of the pair or set to restore it to its value before the loss or damage; or

b. pay the difference between the **actual cash value** of the property before and after the loss or damage.

Loss or damage to a part does not mean a total loss or damage of the pair or set.

10. **Appraisal.**

If you and we fail to agree on the amount of loss or damage or the **actual cash value** of such loss, either one may make a written demand for appraisal. Each party will choose a competent and disinterested appraiser and notify the other of the appraiser's name within 20 days after the demand is received. The appraisers will choose a competent and disinterested umpire. If the appraisers cannot agree upon an umpire within 15 days, you or we can ask a judge of a court of record in the judicial district where the **residence premises** is located to choose an umpire.

The appraisers will then set the amount of loss or damage, stating separately the **actual cash value** for each item of property. If the appraisers submit a written agreement to us, the agreed amount will be the amount of loss or damage and **actual cash value**. If the appraisers cannot agree, they will submit their differences to the umpire. A written agreement signed by any two will set the amount of loss or damage and **actual cash value**. Each party will pay the appraiser it chooses. The umpire and all other expenses of the appraisal will be paid equally by you and us.

11. **Vacancy**.

    Vacancy of the **residence premises** will affect coverage as provided in this policy.

12. **Intentional acts, criminal acts, and fraud**.

    We do not provide coverage for loss or damage if any **insured** has before or after the loss or in relation to any insurance provided in this policy:

    a. concealed or misrepresented any material fact or circumstance;
    b. intentionally caused or arranged for the loss or damage;
    c. has caused the loss or damage while engaged in committing or concealing a felony;
    d. engaged in fraudulent conduct; or
    e. made material false statements.

    We do not provide coverage for loss or damage from a criminal act committed by or at the direction of an **insured** if the loss that occurs may be reasonably expected to result from such an act, or is the intended result of such an act. This applies regardless of whether or not the **insured** is actually charged with or convicted of a crime.

13. **Suit against us**.

    No suit or other action can be brought against us, our agents or our representatives unless there has been full compliance with all the terms of this policy, including submission to requested examinations under oath. Suit on or arising out of the Section I - Property Coverage of this policy must be brought within two years after inception of the loss or damage.

14. **Loss adjustment and payment**.

    We will adjust all losses with you. We will pay you unless another payee or lienholder is named in the policy, in which case we will pay as interests appear. We will pay within 5 working days after:

    a. we reach agreement with you;
    b. a final judgment; or
    c. an appraisal award.

15. **Abandoned property - our option**.

    We need not accept property abandoned by an **insured**. At our sole option and discretion, we may take all or part of the damaged property at an agreed or the appraised value. We will give you written notice of our intention within 30 days after receipt of your signed sworn statement of loss.

16. **Mortgagee clause**.

    Mortgagee includes trustee or loss payee. If a mortgagee is named in this policy, a covered loss will be paid to the mortgagee and you, as interests appear. If more than one mortgagee is named, the order of payment will be the same as the order of precedence of the mortgages.

    If we deny your claim, such denial will not apply to a mortgagee's valid claim if the mortgagee:

    a. pays on demand any premium due if you have failed to do so; and
    b. submits a signed, sworn statement of loss within 60 days after we notify the mortgagee of your failure to do so. All policy conditions will apply to the mortgagee, except Misrepresentation, concealment or fraud, unless committed by the mortgagee or its representatives.

    We will give the mortgagee 10 days notice before we cancel this policy. If we pay the mortgagee for any loss and deny payment to you:

    a. we have right of recovery against any party responsible for the loss; and
    b. at our option, we may pay off the entire mortgage debt to the mortgagee. In this event, we receive full assignment and transfer of the mortgage, including all security held as collateral to the mortgage debt, and we are subrogated to all the rights of the mortgagee under the mortgage.

    A mortgagee's claim will not be impaired by transfer of a right of recovery.

    If the **dwelling** is foreclosed upon under the deed of trust or through any other legal means, the mortgagee may cancel this policy of insurance. The mortgagee will then be entitled to any unearned premiums from this policy.

    The mortgagee must credit any unearned premium against any deficiency owed. The mortgagee must return any unearned premium not so credited to the borrower. The unearned premium will be figured using the customary pro rata procedures.

17. **No benefit to bailee**.

    This insurance will not benefit any person or organization who may be storing, holding or caring for or handling or moving property for a fee. We will not recognize any assignment or grant any coverage hereunder to any such person or organization.

18. **Salvage**.

    We have salvage rights to damaged property for which we pay loss benefits. We have the right to obtain all or part of the property which may be recovered, including property substituted by others to conceal the loss.

Section II - Liability Coverage

We will insure you for the coverages as described below except as otherwise indicated in the Declarations or renewal notice.

Coverage E (Personal Liability)
We will pay those damages which an **insured** becomes legally obligated to pay because of:

1. **bodily injury** resulting from an **occurrence;** or
2. **property damage** resulting from an **occurrence**.

At our expense and with attorneys of our choice, we will defend an **insured** against any suit seeking damages covered under Coverage E (Personal Liability). Our obligation to defend a suit seeking damages ends once we have paid our applicable **stated limit**. We may investigate and settle any claim or suit seeking damages that we consider appropriate.

We do not have any duty to defend or settle any suit involving actual, alleged, threatened or declared **bodily injury** or **property damage** not covered under this liability insurance. This applies whether or not the suit is groundless, false or fraudulent.

Coverage F (Medical Payments to Others)
We will pay reasonable medical expenses for necessary medical services furnished to a person to whom this coverage applies for treatment of **bodily injury**. This will apply for services within three years from the date of the **occurrence** causing **bodily injury**.

Necessary medical services are limited to necessary medical, surgical, dental, x-ray, ambulance, hospital, professional nursing and funeral services. These include the costs of pharmaceuticals, orthopedic and prosthetic devices, eyeglasses, and hearing aids.

Necessary medical services do not include:

1. treatment, services, products or procedures that are:
   a. experimental in nature, for research, or not primarily designed to serve a medical purpose; or
   b. not commonly and customarily recognized throughout the medical profession and within the United States as appropriate for the treatment of the **bodily injury**;
2. the use of:
   a. thermography or other related procedures of a similar nature; or
   b. acupuncture or other related procedures of a similar nature; or
3. purchase, rental cost, or use of:
   a. hot tubs, spas, water beds;
   b. exercise equipment;
   c. heating or vibrating devices;
   d. furniture or equipment not primarily designed to serve a medical purpose;
   e. memberships in health clubs; or
   f. medical reports, unless requested by us.

A reasonable medical expense means the usual and customary expense for the necessary medical services.

This coverage applies to:

1. persons on an **insured location** with permission of an **insured**; or
2. persons off an **insured location** if the **bodily injury** is:
   a. the result of a condition on the **insured location** or the ways immediately adjoining;
   b. caused by the activities of an **insured**;
   c. caused by a **residence employee** in the course of employment by an **insured**; or
   d. caused by an animal or creature owned by or in the care of an **insured**.

This coverage does not apply to:

1. persons injured as a result of their intentional acts;
2. any **insured** or any regular resident of an **insured location**, except a **residence employee** who is in the course and scope of employment by an **insured** as a **residence employee** who earns over $1,000 in a three month period; or
3. any person eligible to receive benefits provided or mandated under any workers' compensation, occupational disease or non-occupational disability law.

Payment under this coverage is not an admission of liability by any **insured** or us. If you pay a private **residence employee** $1,000 or more in cash in a three month period you are required by Minnesota Statute 176.181, Subd.2, to purchase a standard workers' compensation policy.

Section II - Liability Extensions of Coverages

We will insure you for the Extensions of Coverage as described below except as otherwise indicated in the Declarations or renewal notice.

1. **Claim expenses**.

   We pay:

   a. all costs we incur in our settlement of a claim or defense of a suit with attorneys of our choice;
   b. premiums on bonds required in a suit we defend, but not for a bond amount greater than the Coverage E **stated limit**. We are not obligated to apply for or furnish a bond;
   c. reasonable expenses incurred by an **insured** at our specific request to help us investigate or defend a suit. When we ask an **insured** to attend hearings or trials we will pay actual loss of earnings (but not other income) up to $250 per day; and
   d. interest after entry of judgment. This will only apply to that portion of damages covered by this policy and which do not exceed the applicable Coverage E or F **stated limits**. We will only be responsible for interest accruing on such damages until we pay, have given written offer to pay or have deposited the damages with a court.

2. **First aid expenses**.

   We will reimburse reasonable and necessary first aid expenses for **bodily injury** to others incurred by an **insured** at the time of an **occurrence** to which this liability coverage applies. We do not pay for first aid to you or any other **insured**.

3. **Damage to property of others**.

   At your request, we pay replacement cost up to $1,500 per **occurrence** for **property damage** to property of others caused by an **insured**. We will not pay for **property damage**:

   a. to property covered under Section I - Property Coverage;
   b. intentionally caused by an **insured** who is 13 years of age or older;
   c. to property owned by or leased or rented to an **insured**, a tenant of an **insured**, any resident of an **insured's** household or anyone who cohabits with an **insured**;
   d. to **business property**;
   e. arising out of any **business** engaged in by an **insured**;
   f. arising out of premises owned, rented or controlled by an **insured**, other than an **insured location**; or
   g. arising out of the ownership, maintenance, operation, use, moving, occupancy, loading or unloading or entry or exit of **aircraft,** watercraft, **motor vehicles** or any other motorized land conveyance or trailers.

4. **Loss assessment coverage**.

   If the Declarations or renewal notice shows loss assessment coverage, and the **residence premises** is subject to and governed by a homeowners or property owners association of which you are a member, then loss assessment coverage will apply. Subject to the rules of the association we will pay your share of any assessment levied against all members of the association for losses resulting from:

   a. physical injury to or destruction of tangible property owned in common by all association members. The injury or destruction must be loss or damage we would cover under Section I - Property Coverage of this policy if you owned the property;
   b. an **occurrence** to which Section II of this policy would apply; or
   c. **personal injury** for which the association becomes liable, if **personal injury** coverage is provided hereunder.

   This coverage is excess over any collectible insurance covering the association for the loss.

5. **Personal Injury**.

   If the Declarations or renewal notice indicates **personal injury** coverage applies, we will pay those damages which an **insured** becomes legally obligated to pay because of **personal injury** resulting from an **occurrence** to which this coverage applies. Payments for **personal injury** damage are part of and subject to the Coverage E **annual aggregate limit**.

   At our expense and with attorneys of our choice, we will defend an **insured** against any suit seeking damages covered as **personal injury**. Our obligation to defend a suit seeking these damages ends once we have paid our applicable **stated limit** or other limit of insurance. We may investigate and settle any claim or suit seeking damages that we consider appropriate.

   We do not have any duty to defend or settle any suit involving actual, alleged, threatened or declared **personal injury** not covered under this liability insurance. This applies whether or not the suit is groundless, false or fraudulent.

Section II - Liability Exclusions

Coverage E (Personal Liability), Coverage F (Medical Payments to Others) and **personal injury** coverage, if covered under this policy, do not apply to:

1. **Any insured or other residents of the residence premises**.

   We do not cover **bodily injury** or **personal injury** to:

   a. any **insured**; or
   b. any resident of the **residence premises**, whether resident in the **dwelling** or a **separate structure.** However, we do cover **bodily injury** to a **residence**

employee unless the **bodily injury** is the result of the conduct of an **insured** or representative of an **insured** which would be serious and willful misconduct under the workers' compensation laws.

2. **Business**.

   We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with any past or present **business** engaged in by any **insured** or conducted from any **insured location**. By way of example, this includes but is not limited to any warranty, any act, or any duty rendered, promised, owed or implied to be provided because of the nature of the **business**.

3. **Business or professional services**.

   We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with the rendering or failure to render **business** or professional services.

4. **Contract or agreement - failure to perform**.

   We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with the performance or failure to perform under a contract or agreement, whether **business** or non-**business**.

5. **Contract or agreement - liability assumed or imposed**.

   We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with liability assumed by or imposed upon any **insured** under any contract or agreement, whether **business** or non-**business** and whether that of a third party. By way of example, this includes but is not limited to breaches of duty or express or implied warranties.

6. **Agreement with homeowners association**.

   We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with any agreement between any **insured** and a corporation or association of homeowners or property owners, except as provided under Section II - Loss assessment coverage.

7. **Rental property**.

   We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with the rental or holding for rental of any property or any part of any premises by any **insured** to any party. However, this exclusion does not apply to the rental or holding for rental of that part of an **insured location** which is rented or available for rent:

   a. on an occasional basis for sole use as a residence;
   b. to no more than two roomers or boarders at the same time for sole use as a residence; or
   c. as an office, studio or private garage.

8. **Sale or transfer of property**.

   We do not cover **bodily injury**, **property damage** or **personal injury** resulting from, arising from, or in connection with property you or any **insured** has sold or transferred. By way of example, this includes but is not limited to:

   a. known, unknown or hidden property conditions, problems or defects, including by way of example but not limited to manufacturing, structural or plumbing, heating, air conditioning or electrical system conditions, problems or defects;
   b. known, unknown or hidden soil or drainage conditions, problems or defects;
   c. concealment or misrepresentation of or the failure to disclose any known condition, problem or defect in or of the property; or
   d. **contamination**.

9. **Owned property**.

   We do not cover **property damage** to property owned by an **insured** or any other resident of the **residence premises**. This includes expenses and costs incurred by any **insured** or others to repair, replace, restore or maintain such property to prevent injury to a person or damage to property of others, whether on or away from an **insured location**. This exclusion applies even where there has already been some injury or damage.

10. **Non-owned property - used or in the care, custody or control**.

    We do not cover **property damage** to non-owned property occupied by or used by, or in the care, custody or control of any **insured** or any other resident of the **residence premises** by any agreement or otherwise, except as provided under Section II - Damage to property of others. We do cover an **insured's** liability for **property damage** to such non-owned property caused by fire or lightning.

11. **Other locations**.

    We do not cover **bodily injury** or **personal injury** arising from or in connection with a location other than an **insured location** which is:

    a. owned by an **insured**;
    b. rented to an **insured**; or
    c. rented to others by an **insured**.

This exclusion does not apply to **bodily injury** to a **residence employee** arising out of and in the course and scope of the **residence employee's** employment by an **insured**.

12. **Intentional acts**.

    We do not cover **bodily injury**, **property damage** or **personal injury** which is caused by, arises out of or is the result of an intentional act by or at the direction of any **insured**. By way of example this includes but is not limited to any intentional act or intentional failure to act by any **insured**, whether a criminal act or otherwise, where resulting injury or damage would be objectively expected to a high degree of likelihood, even if not subjectively intended or expected. This exclusion applies even if:

    a. any **insured** mistakenly believes he or she has the right to engage in certain conduct;
    b. the injury or damage is sustained by persons or property not intended or expected by any **insured**;
    c. the injury or damage is different or greater or of a different quality than that intended or expected;
    d. any **insured** did not understand that injury or damage may result; or
    e. any **insured** knew the intentional act or failure to act was a violation of any penal law, whether or not an **insured** is actually charged with or convicted of a crime.

    For purposes of application of this exclusion, a plea of guilty, no contest, or true in a criminal proceeding, which involves the same acts or activities which are the basis of a claim for damages against any **insured**, shall conclusively bar any **bodily injury**, **property damage** or **personal injury** arising or resulting from or caused by such acts or activities from coverage under this policy. This applies whether the **insured** actually admits or admitted guilt by plea.

13. **Home care services**.

    a. We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with home care services, including by way of example but not limited to child care, day care or foster care services, whether licensed or not or otherwise approved by a governmental agency or body, provided to any person on a regular basis by or at the direction of:
       (1) any **insured**;
       (2) any employee of any **insured**; or
       (3) any other person actually or apparently acting on behalf of any **insured**.

       Regular basis means more than a cumulative 20 hours per week provided to any one person or group of persons whether that person is the injured party or not.

    b. This exclusion does not apply to:
       (1) home care services provided to an **insured's** relative, who is not a resident of your household;
       (2) occasional or part-time home care services provided by any **insured** under 21 years of age; or
       (3) the providing of home care services or babysitting services for which compensation is not received, other than the mutual exchange of such services.

14. **Transmitting a communicable sickness or disease**.

    We do not cover **bodily injury**, **property damage** or **personal injury** which is caused by or arises out of any **insured** transmitting a communicable sickness or disease, including by way of example but not limited to sexually transmitted sickness or disease. This exclusion applies whether the act of transmitting the sickness or disease was consensual or non-consensual or voluntary or involuntary, or whether the **insured** knew he or she was infected with or bore the sickness or disease or the communicability thereof.

15. **Aircraft, motor vehicles, or watercraft**.

    We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with the ownership, maintenance, operation, use, occupancy, loading or unloading, moving or movement, or entry or exit of any:

    a. **aircraft**;
    b. **motor vehicle**;

       However, this exclusion does not apply to:

       (1) a motorized golf cart not subject to **motor vehicle** registration:
          i. while on the golf course and used for golfing purposes; or
          ii. while in a private residential community, including its public roads upon which a motorized golf cart can legally travel, which is subject to the authority of a property owners association and contains the **residence premises**;
       (2) lawn, garden or farm equipment principally used on the **residence premises**;
       (3) recreational vehicles not subject to **motor vehicle** registration that are only used on the **residence premises**, including by way of example, all terrain vehicles;

(4) any watercraft, camper, home or utility trailer not being towed by, attached to or carried on a **motor vehicle**; or

(5) a motorized assisted living device designed to assist the disabled; or

c. watercraft which:

(1) has more than a 50 horsepower inboard or outdrive motor power;

(2) is powered by one or more outboard motors with more than 25 total horsepower;

(3) is a sailing vessel, with or without auxiliary power, 26 feet or more in length;

(4) uses a powered **water** jet pump as the primary source of propulsion; or

(5) uses an air cushion to hover over **water** surfaces.

This subsection c. does not apply to any watercraft while stored on the **residence premises**.

This exclusion does not apply to **bodily injury** to a **residence employee** in the course and scope of employment by an **insured** as a **residence employee**.

16. **Entrustment and negligent supervision - aircraft, motor vehicles, or watercraft**.

We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with:

a. the entrustment of any **aircraft**, **motor vehicle** or watercraft to any person; or

b. the negligent supervision of any person regarding the maintenance, operation, use, occupancy, loading or unloading, or entry or exit of any **aircraft**, **motor vehicle** or watercraft.

Respecting **motor vehicles** and watercraft, this exclusion only applies to the same types of **motor vehicles** and watercraft excluded under Section II - Liability Exclusions, **Aircraft, motor vehicles** or **watercraft**.

This exclusion does not apply to **bodily injury** to a **residence employee** in the course and scope of employment by an **insured** as a **residence employee**.

17. **Vandalism**.

We do not cover **bodily injury**, **property damage** or **personal injury** caused directly or indirectly by or arising from, during the course of or in connection with any vandalism. This exclusion applies even if the loss or damage is sustained by persons or property not intended or expected.

18. **Destructive acts**.

We do not cover **bodily injury**, **property damage** or **personal injury** caused directly or indirectly by or arising from, during the course of or in connection with any destructive act. This includes acts directed against civilians, or military or governmental personnel or property by any domestic or foreign person(s), organization(s), entity or entities, government or any quasi-governmental body. This exclusion includes by way of example but is not limited to war, undeclared war, civil war, terrorism, insurrection, rebellion and revolution, all whether or not by military or paramilitary personnel, and includes any direct or indirect consequence of these, including **contamination**. This exclusion applies even if the loss or damage is sustained by persons or property not intended or expected.

19. **Fungus, noxious substance, nuclear substance, pathogen or pollutant**.

We do not cover **bodily injury**, **property damage** or **personal injury** caused by, resulting from, or in connection with or arising from any **fungus**, **noxious substance**, **nuclear substance**, **pathogen** or pollutant, all whether combined with, caused by or resulting from **water**.

This exclusion includes by way of example but is not limited to:

a. the actual, alleged or threatened discharge, dispersal, seepage, release, migration, trespass or escape of any **fungus, noxious substance, nuclear substance, pathogen** or pollutant:

(1) from any premises, site or location; or

(2) during transportation, handling, storage, treatment, disposal or processing;

b. **contamination** or **remediation**;

c. any supervision, instruction, disclosure, failure to disclose, recommendation, warning;

d. advice given or which allegedly should have been given, in connection with any **fungus**, **noxious substance**, **nuclear substance**, **pathogen** or pollutant, or **remediation** activities;

e. any claim of nuisance concerning or related to any **fungus, noxious substance, nuclear substance, pathogen,** or pollutant;

f. all costs, expenses or damages arising out of any order, claim or suit, or threat of liability, by or on behalf of a governmental authority or any other person or entity for injury, damages or injunctive relief because of or arising out of **contamination** or for **remediation**;

g. anguish, distress, or fear of any person of **bodily injury** or **property damage** which may be caused by, arise out of or result from alleged, actual or threatened infection with, exposure to, absorption of or **contamination** by or with any **fungus**, **noxious substance**, **nuclear substance**, **pathogen**, or pollutant;

h. actual, alleged, constructive or threatened diminution or loss of value of any property from the actual or alleged presence of any **fungus**, **noxious substance**, **nuclear substance**, **pathogen** or pollutant, including by way of example but not limited to loss of equity, loss of rents, loss of use or feared or actual economic loss; or

i. sums an **insured** is required to expend in equity for or relief from **bodily injury**, **property damage** or **personal injury**.

This exclusion applies whether a **noxious substance**, **nuclear substance**, **pathogen** or pollutant was used legally, normally or intentionally for the purpose for which it was intended, whether it has any function with respect to your property, and whether its use was confined within the general area of its intended use.

20. **Illegal or controlled substance**.

We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with the use, sale, manufacture, distribution, delivery, transfer or possession of any illegal substance or a controlled substance as defined by federal or state law. Such substances include, by way of example but are not limited to: cocaine, LSD, methamphetamines, marijuana and all narcotic drugs.

This exclusion does not apply to the legal use of legally prescribed drugs by a person following orders of a licensed physician.

21. **Punitive or exemplary damages, fines or penalties**.

We do not cover punitive or exemplary damages or any amount in the nature of a civil fine or penalty assessed or imposed under any code, statute or regulation. We also do not cover the cost of defense, including attorney fees, related to any such damages, fine or penalty.

22. **Workers' compensation**.

We do not cover **bodily injury** to any person eligible to receive benefits required to be provided or which may voluntarily be provided by an **insured** under any workers' compensation, occupational disease or non-occupational disability law.

23. **Nuclear energy liability insurance**.

We do not cover **bodily injury** or **property damage** when any **insured** is covered under any nuclear energy liability policy. This exclusion applies even if the limits of that policy have been exhausted.

24. **Obligation to reimburse, share or indemnify damages**.

We do not cover any claim to reimburse, share with or indemnify any person or entity for damages, costs or expenses incurred by that person or entity which arises out of or results from any type of event or activity specified in these liability insurance exclusions.

25. **Statutory liability**.

We do not cover any liability statutorily imposed on any **insured** which arises out of, is connected with or results from any type of event or activity specified in these liability insurance exclusions.

26. **Violation of ordinance, penal law or criminal acts**.

We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with a violation of any ordinance, order or penal law committed by, or with the knowledge or consent of any insured, or any criminal act by an **insured**.

For purposes of application of this exclusion, a plea of guilty, no contest, or true in a criminal proceeding, which involves the same acts or activities which are the basis of a claim for damages against the **insured**, shall conclusively bar any **bodily injury**, **property damage** or **personal injury** arising or resulting from or caused by such acts or activities from coverage under this policy. This applies whether the **insured** actually admits or admitted guilt by plea.

27. **Employment - personal injury**.

We do not cover **personal injury** arising from, during the course of or in connection with any offense directly or indirectly related to the employment of any person by any **insured**. This applies whether the offensive activity is an employment related practice, policy, act or omission and whether the substance or context of the offense is employment related.

28. **Civic or public activities**.

We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with civic or public activities performed for pay by any **insured**.

29. **Molestation, abuse or corporal punishment**.

We do not cover **bodily injury**, **property damage** or **personal injury** arising from, during the course of or in connection with the actual, alleged, or threatened molestation, abuse or corporal punishment of any person by:

a. any **insured**;
b. any employee of any **insured**;
c. any volunteer, person for hire, or any other person who is acting or who appears to be acting on behalf of any **insured**; or
d. any **insured** or employee of an **insured** where there are allegations of negligent supervision, negligent hiring, or negligent entrustment or any allegation that an **insured** or employee of an **insured** failed, or allegedly failed, to supervise, detect, report or otherwise prevent any person from allegedly molesting, abusing or punishing, or continuing to allegedly molest, abuse or punish any person.

We have no duty to defend or settle any molestation, abuse or corporal punishment claim or any claim of negligent supervision, negligent hiring, failure to report, failure to prevent or negligent entrustment suit against any **insured** or any other person.

This exclusion applies even if:

a. any **insured** or any other person mistakenly believes he or she has the right to engage in certain conduct;
b. the injury is sustained by persons not intended or expected by an **insured**;
c. the injury is different or greater or of a different quality than that intended or expected;
d. any **insured** or any other person did not understand that injury may result; or
e. any **insured** or any other person knew the acts or failure to act was a violation of any penal law, whether or not an **insured** is actually charged with or convicted of a crime.

For purposes of application of this exclusion, a plea of guilty, no contest, or true in a criminal proceeding, which involves the same acts or activities which are the basis of a claim for damages against any **insured** or any other person, shall conclusively bar any **bodily injury**, **property damage** or **personal injury** arising or resulting from or caused by such acts or activities from coverage under this policy. This applies whether the **insured** or any other person actually admits or admitted guilt by plea.

Section II- Liability Conditions

1. **Limits of insurance**.
   a. The **stated limit** for Coverage E (Personal Liability) is both the per **occurrence** and the **annual aggregate limit**. All claims resulting from or arising out of any one person's **bodily injury**, including death, shall collectively be considered one **occurrence** and will be subject to the per **occurrence** limit.
   b. The **stated limit** for Coverage F (Medical Payments to Others) is the most we will pay under Coverage F for all necessary medical services for **bodily injury** to any one person for any one **occurrence**. Payments under Coverage F are part of and subject to the Coverage E **annual aggregate limit**.
   c. If **personal injury** coverage is indicated, then payments for **personal injury** damage are part of and subject to the Coverage E **annual aggregate limit.**
2. **Separate insurance**.

   This liability coverage applies separately to each **insured**. This condition will not increase our **annual aggregate limit** or our per **occurrence** limit of insurance. However, exclusions under this liability coverage may limit coverage of all **insureds**.
3. **Duties after loss**.

   In case of an **occurrence,** an **insured** will perform the following duties:

   a. give written notice to us or our agent as soon as possible stating:
      (1) the policy number, your name and the name of **insured** against whom the claim is made;
      (2) the time, place and circumstances of the **occurrence** or claimed **personal injury**; and
      (3) names and addresses of claimants and witnesses;
   b. immediately send us any notice or demand or legal papers received relating to a claim or suit;
   c. cooperate with and assist us in any matter relating to a claim or suit;
   d. provide all information we request to investigate the claim or suit;
   e. under Damage to property of others, send us a sworn statement of loss within 60 days of the loss. Also exhibit any damaged property which is within the **insured's** control;
   f. an **insured** will not, except at the **insured's** own cost, voluntarily make any payment, assume any obligation or incur any expense except First aid expenses;

g. submit to examinations under oath, separately and apart from any other person defined as you or **insured** and sign a transcript of the examination;

h. produce representatives, employees, members of the **insured's** household or others for interviews or examinations under oath to the extent it is within the **insured's** power to do so;

i. cooperate and assist us and not do anything to inhibit or release any right of contribution, recovery or indemnity against any person or organization who may be liable to an **insured** for activities related to a claim or suit; and

j. as reasonably requested, attend hearings and trials concerning the suit.

4. **Duties of an injured person - Coverage F (Medical Payments to Others)**.

   The injured person or someone acting on behalf of the injured person will:

   a. give us written proof of claim as soon as possible, under oath if required; and

   b. authorize us to obtain medical reports and records.

   The injured person will submit to a physical exam by a doctor we choose when and as often as we reasonably require.

5. **Suit against us**.

   No action can be brought against us unless there has been full compliance with the terms and conditions of this policy.

   No one has any right to make us a party to a suit to determine the liability of a person we insure or to make us a party to any action against an **insured**. We may not be sued under Coverage E (Personal Liability) until the obligation of the **insured** has been determined by final judgment after actual trial or by agreement signed by us. Under Coverage F (Medical Payments to Others), no action can be brought until 30 days after the required proofs of claim have been filed.

6. **Bankruptcy of an insured**.

   Bankruptcy, insolvency or dissolution of an **insured** or of an **insured's** estate will not relieve us of our duties under this policy.

7. **Other insurance - Coverage E (Personal Liability)**.

   This insurance is excess over any other valid and collectible insurance. If any applicable insurance other than this policy is issued to you by us or any other member company of the Farmers Insurance Group of Companies, the total amount payable among all such policies shall not exceed the **stated limit** or other limit of insurance of the single policy providing the highest limit of insurance.

General Conditions Applying to The Entire Policy

1. **Entire contract**.

   This policy, the Declarations, the renewal notice and any endorsements include all the agreements between you and us relating to this insurance.

2. **Policy period**.

   This policy applies only to covered loss or damage under Section I and **bodily injury, property damage** or **personal injury** which occurs during the policy period stated on the Declarations or renewal notice.

3. **Joint obligations**.

   The terms of this policy are joint obligations of all persons defined as an **insured**. This means that the responsibilities, acts, and failures to act of any **insured** will be binding upon any other **insured**. To the extent an **insured**, other than you, is a direct beneficiary of coverage under this policy, that **insured** is also responsible for complying with the duties and responsibilities set forth in this policy.

4. **Misrepresentation, concealment or fraud**.

   We reserve the right to deny coverage for any loss or damage or claim for injury or damage if you or any **insured**, at any time either before or after a claim or loss, has knowingly, willfully or fraudulently concealed or misrepresented any material fact or circumstance in the application for, change to or renewal of this insurance, or in the presentation of a claim or loss, or engaged in fraudulent conduct respecting a claim or loss.

   As permitted by law, we reserve the right to void this policy if you or any **insured**, at any time either before or after a claim or loss, has fraudulently concealed or misrepresented any material fact or circumstance in the application for, change to or renewal of this insurance, or in the presentation of a claim or loss, or engaged in fraudulent conduct respecting a claim or loss, if it is shown.

   We do not provide coverage for any loss or damage or claim for injury or damage if you or any **insured** has in connection with or related to any insurance provided in this policy intentionally caused or arranged for the loss or damage or claim or has caused the loss or damage while engaged in committing or concealing a felony, or for any loss or damage or claim for injury or damages when any **insured** had knowledge of the loss or damage or claim prior to the inception of this insurance.

5. **Liberalization clause**.

   If we make a change which broadens coverage under this edition of our policy without additional premium charge, that change will automatically apply to your policy as of the date we implement the change in your state, provided that this implementation date falls within 60 days prior to or during the policy period stated in the Declarations or renewal notice.

   This liberalization clause does not apply to changes implemented with a general program revision that includes both broadenings and restrictions in coverage, whether that general program revision is implemented through introduction of:

   a. a subsequent edition of this policy; or
   b. an amendatory endorsement.

6. **Waiver or change of policy provisions**.

   A waiver or change of a provision of this policy must be in writing by us to be valid. We may change this policy or replace it to confirm to the policy form and coverage we then currently use. The change or new policy will be delivered to you or mailed to you at your mailing address shown on the Declarations or renewal notice at least 30 days before its effective date. Our request for an appraisal or examination will not waive any of our rights.

7. **Cancellation**.

   a. You may cancel this policy by:
      (1) returning it to us, or
      (2) notifying us in writing when cancellation is to take effect.
   b. The mortgagee may cancel this policy by notifying us in writing pursuant to the mortgagee clause.
   c. We may cancel this policy by mailing or delivering written notice to you. Such notice must be personally delivered to you or mailed first class or certified to your last known address.

   The mailing of it will be sufficient proof of notice.

   We may cancel this policy:

   (1) for any reason, when this policy has been in effect for less than 60 days and is not a renewal with us. We shall notify you at least 20 days before the date cancellation takes effect; or
   (2) when this policy has been issued to cover buildings used for residential purposes other than a hotel or motel and has been in effect for at least 60 days, or if it has been renewed, this policy shall not be canceled except for one or more of the following reasons which shall be stated in the notice of cancellation:
      i. non payment of premium;
      ii. misrepresentation or fraud made by or with the knowledge of the **insured** in obtaining the policy or in pursuing a claim hereunder;
      iii. an act or omission of the **insured** which materially increases the risk originally accepted;
      iv. physical changes in the insured property which are not corrected or restored within a reasonable time after they occur and which result in the property becoming uninsurable; or
      v. any reason permitted by law.

   We shall notify you in writing at least 30 days before the date cancellation takes effect unless the reason for cancellation is nonpayment of premium, in which case we shall notify you in writing at least 20 days before the date cancellation takes effect.

   d. Return of premium.

      Cancellation of or changes in this policy may result in a premium refund. If so, we will send it to you within 30 days after the cancellation or change takes effect. If you or we cancel this policy, we will return the pro-rated unused share of the premium.

      If the mortgagee cancels this policy pursuant to the mortgagee clause, we will return the pro rated unused share of the premium to the mortgagee.

8. **Refusal to renew**.

   We may elect:

   a. to nonrenew this policy; or
   b. to condition its renewal on an increase or reduction of **stated limits** or other limits of insurance or an increase, reduction or elimination of coverages.

   We may elect to nonrenew by delivering to you, or mailing to you at your mailing address shown in the Declarations or renewal notice, written notice at least 60 days before the expiration date of this policy. The mailing of it will be sufficient proof of notice.

   If we elect to renew but condition the renewal as indicated above, we will deliver or mail to you at the mailing address shown in the Declarations or renewal notice, written notice in accordance with applicable state law.

   If this policy is written for a period of less than one year we agree not to refuse to renew except at the end of an annual period beginning with the original or renewal effective date.

9. **Assignment and death**.

   Your interest in this policy may not be transferred to another person without our written consent.

   If you should die, we will cover for the remainder of the policy period:

   a. your spouse, if a resident of the same household at the time of death or any other member of your household on the **residence premises** who is an **insured** at the time of your death, but only while a resident of the **residence premises**;
   b. your legal representative while acting as such, but only with respect to the **residence premises** and property covered under this policy at the time of your death; or
   c. any person having proper temporary custody of your insured property until your legal representative is appointed and qualified.

10. **Subrogation**.

    When we pay for any loss or damage, an **insured's** right to recover from anyone else for that loss or damage becomes our right up to the amount we have paid. **Insureds** must protect any of these rights and help us enforce them. However, an **insured** may waive in writing before a loss, all rights of recovery against any person. An **insured** may not waive after a loss any rights of recovery against any person. If not waived, we may require an assignment of rights of recovery for a loss to the extent that payment is made by us. If an assignment is sought, an **insured** must sign and deliver all related papers and cooperate with us. Subrogation does not apply under Section II - Liability Coverage. We are entitled to payment, reimbursement and subrogation regardless of whether the total amount of the recovery by an **insured** on account of the loss or damage is less than the actual loss suffered by the **insured**.

11. **What law will apply.**

    This policy is issued in accordance with the laws of the state in which the **residence premises** is located and covers property or risks principally located in that state. The laws of the state where the **residence premises** is located shall govern any and all claims or disputes in any way related to this policy.

12. **Arbitration**.

    Any claim or dispute related to this policy, by an **insured** against us or us against an **insured**, may be resolved by arbitration only upon mutual consent of us and the other party subject to:

    a. no arbitrator has the authority to award punitive damages, exemplary damages or attorney's fees;
    b. neither of the parties are entitled to arbitrate any claims or disputes in a representative capacity or as a member of a class; and
    c. no arbitrator has the authority, without the mutual consent of the parties, to consolidate claims or disputes in arbitration.

13. **Conflict of terms.**

    If there are terms of this policy which conflict with statutes of the state where issued, the terms are amended to conform to such statutes.

14. **Where suits may be brought.**

    Any and all suits related to this policy will be brought, heard and decided only in a state or federal court located in the state in which the **residence premises** is located. Any and all suits against persons not party to this policy but involved in the sale, administration, performance or alleged breach of this policy, shall be brought, heard and decided only in a state or federal court located in the state in which the **residence premises** is located, provided that such persons are subject to or consent to suit in the courts specified in this paragraph.

    Nothing in this section shall limit or impair any party's right to remove a state court suit to a federal court.

15. **Reciprocal provisions.**

    This policy is made and issued in consideration of your premium payment to us. It is also issued in consideration of the power of attorney you signed and the information you gave to us during the application process. The power of attorney authorizes your Attorney-in-Fact to execute interinsurance policies between you and other subscribers.

    Nothing in this policy is intended, or shall be construed, to create either:

    a. A partnership or mutual insurance association; or
    b. Any joint liability.

    We may sue or be sued in our own name, as though we were an individual, if necessary to enforce any claims which arise under this policy. In any suit against us, service of process shall be upon the Attorney-in-Fact as shown in your Subscription Agreement.

    Membership fees which you pay are not part of the premium. They are fully earned when you are granted membership and coverage is effective. They are not returnable. However, they may be applied as a credit to membership required of you for other insurance which we agree to write.

We hold the Annual Meeting of the members of the Fire Insurance Exchange at our Home Office at Los Angeles, California, on the first Monday following the 15th day of March of each year at 10:00 p.m. The Board of Governors may elect to change the time and place of the meeting. If they do so, you will be mailed a written or printed notice at your last known address at least ten (10) days before such a time. Otherwise, no notice will be sent to you.

The Board of Governors shall be chosen by subscribers from among yourselves. This will take place at the Annual Meeting or at any special meeting which is held for that purpose. The Board of Governors shall have full power and authority to establish such rules and regulations for our management as are not inconsistent with the subscribers' agreements.

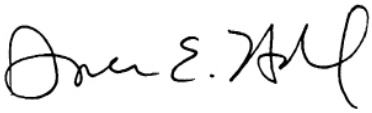
Your premium for this policy and all payment made for its continuance shall be payable to us at our Home Office or such location named by us in your premium notice.

The funds which you pay shall be placed to your credit on our records. They will be applied to the payment of your proportion of losses and expenses and to the establishment of reserves and general surplus. The Board of Governors or its Executive Committee has the authority to deposit, withdraw, invest and reinvest such funds. You agree that any amount which the Board of Governors allocates to our surplus fund may be retained by us. Also, after provision is made for all of our liabilities, it may be applied to any purpose deemed proper and advantageous to you and other policyholders.

This policy is non-assessable.

This policy shall not be effective unless countersigned on the Declarations by a duly authorized representative of the company named on the Declarations. The company named on the Declarations has caused this policy to be signed by the officers shown below.

Fire Insurance Exchange
by Fire Underwriters Association
Attorney-in-Fact



Secretary

Vice President

Policy Endorsements

FARMERS INSURANCE

Endorsement Amending General Conditions (J6898 - 1st Edition)

In the **Farmers Next Generation® Homeowners Policy** 1st Edition under **General Conditions Applying to The Entire Policy** and in the **Farmers Next Generation Homeowners Policy** 2nd Edition under **General Conditions - Applying to The Entire Policy,** it is agreed that the following are added:

Additional Benefits and Services.

We may work with independent merchants for enhanced value for replacement of your property. We may also work with independent merchants for other services, discounts or benefits. We may introduce you to these merchants and if you are interested in any of the services, discounts, or benefits that they may offer, you will have to deal directly with them. You do not have to use their services. You do not have to accept any discounts or benefits that they may offer to you. We do not make any representation regarding the suitability of any such services, discounts or benefits for your specific needs. We are not obligated to expand or continue to make available any such services, discounts or benefits.

Policy Notices.

Notwithstanding any policy provision which states where a policy notice will be addressed, we will address policy notices to you at your last mailing address known to us. We may mail or, unless prohibited by law, deliver such notices to you. If a mortgagee is named in this policy, any notices we give to the mortgagee may be mailed or delivered.

However, when mailed, we or vendors we retain may forward or address such notices to an updated address per any change of address presented to or filed with the United States Postal Service. In addition, we may update our policy records to reflect this updated address and/or address future policy notices to this address.

Except where prohibited by law, a policy notice under this Policy Notices condition will be deemed "mailed" or "delivered" if it is delivered by electronic transmittal or facsimile.

93-6898 1st Edition 1-11

This endorsement is part of your policy. It supersedes and controls anything to the contrary. It is otherwise subject to all other terms of the policy.

Limited Matching of Undamaged Property and Consequential Damage (J6944 - 1st Edition)

Policy Number: **98055-49-65**
Effective Date: 11/25/2014

Under Section I - Property Conditions, 5. How We Settle Covered Loss, the following is added:

We do not cover as part of the settlement of covered loss any:

(1) cost to repair or replace property which is not damaged by the covered peril and does not match with the materials used to repair or replace damaged property because of:

i. **marring;** or

ii. wear, tear, deterioration, corrosion or decay; or

iii. obsolescence or discontinuation; or

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(2) actual or perceived loss in value to any property because materials used to repair or replace the lost or damaged property does not match undamaged property; or

(3) consequential loss or damage to property which is a result of a condition of the property which is uninsured or excluded under Section I - Uninsured Loss or Damage and Excluded Causes of Loss or Damage.

☐ For an added premium, if this box is "X'd," then item (1) (iii) will not apply to loss involving exterior siding or roof coverings, including soffit and facia, on a damaged **building structure,** subject to:

(1) we will only pay up to for any one loss event to match materials that are not damaged with the repaired or replaced siding or roof coverings.

(2) we will only match on that **building structure.**

(3) this is not additional insurance.

(4) you may not collect any payment unless and until you actually repair or replace the materials that are not damaged and do not match.

Otherwise this entire endorsement applies to limit how a covered loss is settled.

93-6944 1st Edition 7-12

This endorsement is part of your policy. It supersedes and controls anything to the contrary. It is otherwise subject to all other terms of the policy.

Policy Notices

FARMERS INSURANCE

Notice of Information Practices - Minnesota

You have certain rights under state and federal law with respect to the privacy of information we obtain about you when you engage in insurance transactions involving insurance primarily for personal, family or household use. You will receive, or already may have received, a notice entitled "Farmers Privacy Notice." Your state gives you additional protections that are explained in this notice. Our information practices, as described in this notice, extend to applicants, policyholders and former policyholders.

Collection of Information

Much of the information we need comes from you when you apply for insurance. Sometimes, however, we may need additional information or may need to verify information you've given us. In those instances, we may contact you, your spouse or another adult member of your household either by phone or by mail.

In addition, we often employ the common insurance industry practice of asking an outside source, called a "consumer reporting agency" or "insurance support organization," to provide us with consumer reports. On occasion, that source may contact you, another adult member of your household or a neighbor, either by phone or in person to provide us with a report. As the Named Insured, you have the right to request that you or your spouse be contacted for a personal interview. If you choose this option, we will make every effort to comply with your request.

We may also obtain information from consumer reporting agencies and other sources for purposes other than underwriting, such as when processing claims, investigating potential fraud, or servicing your account. For example, we may obtain financial information relating to a particular bank account if you desire to set up an electronic funds transfer payment. In addition, we may obtain information relating to health and employment during the processing of a claim.

Types of Information Collected

In connection with the underwriting and/or servicing of policies covering your personal vehicles, we may obtain information, including information relating to the use of your vehicle(s), ages and drivers, mileage, items relating to the driver, such as, personal habits and characteristics, credit information, prior accidents and driving violations, prior arrests or convictions, claims history and previous insurance experience.

In connection with the underwriting and/or servicing of policies covering your real and personal property, we may obtain information, including information relating to construction type, square footage, heating, other physical characteristics of the property, care and maintenance of the property, the personal habits and characteristics of the property's occupants, credit information, claims history and previous insurance experience.

What We do with Information We Collect About You

We use the information we collect about you to perform insurance functions, including underwriting and servicing your policy, processing claims and for other purposes permitted by state and federal law. For example, we may disclose this information, as permitted by law, and without your prior authorization to:

1. Your Agent, who may need the information to service your policy.
2. Persons who need this information to perform normal business functions for us.
3. Persons conducting actuarial or research studies on our behalf.
4. Persons to detect or prevent criminal activity or fraud in connection with an insurance transaction.
5. A healthcare institution or health professional, to verify insurance coverage or benefits, or to inform an individual of a medical problem of which the individual may not be aware.
6. An insurance regulatory authority.

(Continued Next Page)

7. Law enforcement or other governmental authority.
8. A group policyholder to report claims experience or conduct an audit of our operations, but only as necessary to conduct the review or audit.
9. Affiliates, as permitted by law.
10. Other non-affiliated third parties, as permitted by law.
11. A party to a proposed or consummated sale, transfer, merger or consolidation of all or part of the company underwriting your policy.

Information obtained from a report prepared by an insurance-support organization may be retained by that organization and disclosed to other persons who use these reports, but only to the extent permitted by federal and state law.

Access to and Correction of Personal Information

You have the right to know the contents of any recorded personal information about you that is in our records, including any investigative consumer report we have obtained. You also have the right to receive a copy of this information and to request that we correct, amend or delete any of the information that you feel is in error. To exercise these rights, you must send us a written request. If you request correction, amendment or deletion of any erroneous information, we will review the recorded personal information and your written request. If the requested changes are in order, we will make the appropriate changes in our records. If we cannot make the change, you then have the option of filing a statement of the reasons why you disagree with our decision, which will be included in our policy records so anyone reviewing the disputed personal information will have access to it. Any future disclosure made by us, if any, will also include your filed statement. We will also provide a copy to anyone designated by you who may have received recorded personal information from us in the past two years. In any case, whether we can or cannot comply with your request to correct recorded personal information, we will advise you of our decision in writing.

These rights do not extend to information collected in connection with or in reasonable anticipation of a claim, or civil or criminal proceeding, or to specific items of privileged information when an applicant or policyholder is suspected of fraud, material misrepresentation or material nondisclosure.

You may contact your Agent for the appropriate service center address where you can direct your written inquiry.

Keeping You Informed

As required by law, we will notify you of our information practices regularly. We reserve the right to modify our practices at any time, when permitted by law.

If, after reading this, you have any further questions, please feel free to contact your Agent.

This notice is sent on behalf of the Farmers Insurance Group of Companies, whose members include, but are not limited to:

Farmers Insurance Exchange, Fire Insurance Exchange, Truck Insurance Exchange, Mid-Century Insurance Company, Farmers New Century Insurance Company, Farmers Insurance Company, Inc. (A Kansas Corp.), Farmers Insurance Company of Arizona, Farmers Insurance Company of Idaho, Farmers Insurance Company of Oregon, Farmers Insurance Company of Washington, Farmers Insurance of Columbus, Inc., Farmers Texas County Mutual Insurance Company, Illinois Farmers Insurance Company, Mid-Century Insurance Company of Texas, Texas Farmers Insurance Company, Civic Property and Casualty Company, Exact Property and Casualty Company, and Neighborhood Spirit Property and Casualty Company.

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Important Notice - Please keep for your records

Subscription Agreement Notice

By payment of the policy premium, you acknowledge that you have received and read the Fire Insurance Exchange Subscription Agreement (the terms of which are provided below) and that you agree to be bound to all of the terms and conditions of the Subscription Agreement.

Under the Subscription Agreement, you appoint Fire Underwriters Association (the "Association") to act as the Attorney-in-Fact. The Association has acted in this capacity since 1942. The Subscription Agreement provides for payment of compensation to the Association for its becoming and acting as Attorney-in-Fact. This compensation consists of a membership fee and a percentage of premiums on all policies of insurance or reinsurance issued or effected by the Exchange. These fees are included in your policy payment and are not an additional fee.

We reserve the right to request that you provide us with a signed Subscription Agreement and if you fail to do so, your coverage may be terminated.

Subscription Agreement

For and in consideration of the benefits to be derived therefrom the subscriber covenants and agrees with Fire Insurance Exchange and other subscribers thereto through their and each of their Attorney-in-Fact, the Fire Underwriters Association, to exchange with all other subscribers' policies of insurance or reinsurance containing such terms and conditions therein as may be specified by said Attorney-in-Fact and approved by the Board of Governors or its Executive Committee for any loss insured against, and subscriber hereby designates, constitutes and appoints Fire Underwriters Association to be Attorney-in-Fact for subscriber, granting to it power to substitute another in its place, and in subscriber's name, place and stead to do all things which the subscriber or subscribers might or could do severally or jointly with reference to all policies issued, including cancellation thereof, collection and receipt of all monies due the Exchange from whatever source and disbursement of all loss and expense payments, effect reinsurance and all other acts incidental to the management of the Exchange and the business of interinsurance; subscriber further agrees that there shall be paid to said Association, as compensation for its becoming and acting as Attorney-in-Fact, the membership fees and twenty five per centum of the Premium Deposit for the insurance provided and twenty five per centum of the premiums required for continuance thereof.

The remaining portion of the Premium Deposit and of additional term payments made by or on behalf of the subscriber shall be applied to the payment of losses and expenses and to the establishment of reserves and general surplus. Such reserves and surplus may be invested and reinvested by a Board of Governors duly elected by and from subscribers in accordance with provisions of policies issued, which Board or its Executive Committee or an agent or agency appointed by written authority of said Executive Committee shall have full powers to negotiate purchases, sales, trades, exchanges, and transfers of investments, properties, titles and securities, together with full powers to execute all necessary instruments. The expenses above referred to shall include all taxes, license fees, Attorneys' fees and adjustment expenses and charges, expenses of members' and governors' meetings, agents' commissions, and such other specified fees, dues and expenses as may be authorized by the Board of Governors. All other expenses incurred in connection with the conduct of the Exchange and such of the above expenses as shall from time to time be agreed upon by and between the Association and the Board of Governors or its Executive Committee shall be borne by the Association.

The principal office of the Exchange and its Attorney-in-Fact shall be maintained in the City of Los Angeles, County of Los Angeles, State of California.

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This agreement can be signed upon any number of counterparts with the same effect as if the signatures of all subscribers were upon one and the same instrument, and shall be binding upon the parties thereto, severally and ratably as provided in policies issued. Wherever the word "subscriber" is used the same shall mean members of the Exchange, the subscriber hereto, and all other subscribers to this or any other like agreement. Any policy issued hereon shall be non-assessable.

25-3096 2-14

Important Notice Regarding a Change on Your Policy

Farmers offers a range of discounts to reward our customers for having good risk characteristics. Some of these discounts can be validated using internal or third-party information, but others require that our customers provide documentation to prove their eligibility. This ensures that our discounts are applied only to qualified customers.

Unfortunately, we did not receive the required documentation for the discount(s) listed below. As a result, these discounts have been removed from your policy and your premium has been adjusted accordingly. If you are able to provide the required documentation listed below or have questions about your eligibility, please contact your Farmers agent.

Affinity group discount

Proof of group affiliation must be provided to your agent.

25-3249 2-06

Important Information About Damage Caused by Flooding

The policy does not cover damage to your property caused by flooding. Flood insurance is available to communities and property that participate in the National Flood Insurance Program ("NFIP"). Not all communities participate in the NFIP. Flood insurance may be available even if you do not live in a flood hazard area as defined by the NFIP.

If your community does not participate in the NFIP, you may contact your insurance agent or broker to see if there is other flood insurance coverage available to you.

To purchase or receive more information on flood insurance coverage, please contact your local Farmers agent. Information regarding flood insurance is also available by calling the National Flood Insurance Program at 1-800-427-4661.

25-4414 8-08

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Notice Explaining Homeowners Policy Rate Surcharges

This notice describes those circumstances and conditions under which the rate charged for a Homeowners or Landlords Protector Policy will be surcharged.

Insurance companies consider many factors when determining the rate for a homeowners policy. Policy premiums are based in part on losses that have occurred and also on the expectation that losses will occur in the future.

When rate surcharges will NOT apply:

- The policy is a ***Mobile Homeowners policy***
- The amount paid for the loss is ***$500 or less***
- The loss is caused by a ***Catastrophe***, as identified by the Farmers National Catastrophe Claims Center
- The loss is for ***Medical Payments*** only
- The loss is paid under the ***Residence Glass Endorsement*** provided the loss does not exceed your policy deductible at the time of loss
- The loss is caused by ***Wind***, ***Hail***, or ***Lightning***
- ***Earthquake losses***
- The loss is for ***Additional Living Expenses*** (ALE) paid only under Prohibited Use coverage, or similar forced evacuation provisions under any insurance policy
- Losses paid under the ***Identity Fraud coverage***
- The loss is for ***Mine Subsidence coverage***
- Losses paid under ***Scheduled Personal Articles Endorsement***
- ***Subrogated Losses****

Applying the rate surcharge:

The rate surcharge will apply on all other losses.

- It will be ***applied at the first policy renewal after the loss date of the eligible loss.***
- It will be ***removed at the first policy renewal following the three-year anniversary of the loss date.***

One or more paid losses eligible for a rate surcharge that occur in a single loss event will be considered as a single loss for the purposes of applying the rate surcharge. This means that, regardless of the number of losses paid under the policy for a single event, only one rate surcharge will apply.

The following chart shows the amount of the surcharge (the number that will be multiplied times the policy rate):

Number of Years since Prior Loss or Household Inception	*Number of losses*				
	0	*1*	*2*	*3*	*4+*
Less than 1 year	1.00	1.42	1.59	1.82	1.82
1 year or more but less than 2 years	1.00	1.39	1.56	1.78	1.78
2 years or more but less than 3 years	1.00	1.28	1.53	1.75	1.75
3 years or more but less than 4 years	1.00	1.25	1.51	1.73	1.73
4 years or more but less than 5 years	1.00	1.10	N/A	N/A	N/A
5 years	1.00	1.07	N/A	N/A	N/A

Please note that the surcharge decreases as the prior loss ages. If there is no prior loss, the surcharge depends on the number of years insured with Farmers®. Also, the rate surcharge increases as the number of losses increases. This means that policyholders with more losses will pay higher premiums than those with few or no losses.

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Following is an example of how the rate surcharges affect the policy rate:

A loss for a fire, which is eligible for a rate surcharge, is filed under a new homeowners policy. At the first renewal, the $600 premium for the policy is surcharged 20% and would then be $720.

The 20% surcharge is reduced to 15% on the second renewal if no other losses occur. The surcharge is then reduced again to 10% on the third renewal if no other losses occur. On the fourth renewal, the surcharge is removed altogether, provided no other eligible losses occur.

***Subrogated Losses:**

A loss is subrogated when we pay the insured and then attempt to collect from the responsible party. If you pay a higher premium because of a paid loss that we later determine is eligible for subrogation, we will remove the surcharge and then reimburse you for the extra premium you may have paid because of the surcharge.

A subrogated loss could be closed because you are found to be negligent or at fault, or because you failed to cooperate with the claims representative. If this happens, a surcharge will be charged.

25-4893 9-06

Reconstruction Cost and Your Coverage A (Dwelling) Amount

Policy Number: **98055-49-65**

This document contains important information about your insurance coverage. Please review this information carefully.

Do You Think You Have Enough Coverage?

Your policy provides **$172** per square foot to rebuild your home. (This does not include any additional amount added by extension or endorsement to your policy.)

Farmers® uses an estimating program, and information provided and /or confirmed by you to assist in calculating a reconstruction cost estimate for your home. This is an estimate, not a guarantee of reconstruction costs. You can use this estimate as a guide to help you choose the amount of coverage you want for your home. Please review this estimate to make sure the details about your home are correct. Let me know if you want to change any of those details or if there is anything unique about your home that would affect the estimate. Feel free to contact me at any time if you want to make a change to the amount for which your home is insured.

Amount for which your home is insured (Coverage A):	**$532,000**
Reconstruction Cost Estimate:	**$526,000**

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It's important to understand that reconstruction cost is NOT the same as the market value of your home.

Reconstruction Cost

Reconstruction cost is the amount it would cost to rebuild your home if it were destroyed. It includes costs like materials and labor and city/county fees. It is not what a buyer would pay for your home or the amount of your mortgage. It does not include the value or cost of the land.

vs.

Market Value

Market value is the price a buyer would pay to purchase the home, including the land and property, in its current condition. It takes into account changes in the housing market, and the economy. It does not take into account the cost to rebuild the home.

Do You Need Help?

As your Farmers Agent I am happy to help you with any questions you have. I can provide guidance as to the coverage options available, but I cannot choose your coverage amounts for you. Ultimately it is your responsibility to make sure you have purchased sufficient insurance coverage to rebuild your home and replace your personal property.

If you have questions about your coverage or the estimated reconstruction cost please contact my office, at **(612) 220-0342.** As your Farmers Agent, I am committed to providing you excellent service.

Sincerely,

Peter Pietila Ins Agency Inc

Questions to Consider When You Choose How Much Coverage You Want:

- Is the square footage accurate?
- Have you remodeled your kitchen, bathrooms or any other part of your home?
- What is the overall quality of your home? (See the Quality Grade definitions later in this document.)

Information Used to Estimate the Reconstruction Cost of Your Home:

Your review of this information should start with comparing your selected Coverage A amount with the Reconstruction Cost Estimate developed by the estimating program. Keep in mind that the estimate is just that, an estimate. It is not a guarantee of reconstruction costs. Again, feel free to contact me if you want to make a change to your Coverage A amount.

ZIP Code:	55347-1061	*Roof Material:*	Wood Shingle/Shake
Year Built:	1993	*Garage Type:*	3 Car Attached
Square Footage:	3,089	*Interior Wall Construction Material:*	Drywall/Sheetrock
Style or Number of Stories:	2 Stories		
Dwelling Quality Grade:	Standard	*Basement:*	Yes
Foundation Type:	Cement Slab (Incl. Basements)	*Number of Units:*	1
Foundation Shape:	4-5 Corners - Square/Rectangle		

Please note that the above information is not an all inclusive list of the individual home features that were used to develop your estimate, but they are the major contributors to the development of that estimate. Also, the features listed above may include only the predominant components but not every single component. If you desire a complete list of all the home features, including all their components, or any other information relating to your estimate, please contact me so I can provide that information. Please see the next page for definitions of Square Footage and Dwelling Quality Grade.

There are other coverages and/or options that may be right for you, including those that follow. Some may not be available

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based on your policy form and/or some may have additional underwriting requirements.

Extended Replacement Cost Coverage: This coverage increases your Coverage A (Dwelling) limit up to an additional 25% or 50% of the Coverage A amount to repair or replace covered damage to your home. This coverage is subject to the policy terms and conditions and may not be available in all states. This coverage may provide an additional layer of protection as your policy ***does not*** provide Guaranteed Replacement Cost coverage. If your policy does not already include this coverage as indicated on your Declarations page, contact your agent to explore your coverage options.

Building Ordinance or Law Coverage: This coverage pays for increased costs incurred from rebuilding your home in compliance with updated building codes. Contact your agent to learn more about this coverage and the limits available to you.

Options to Choose a Reduced Coverage A (Dwelling) Amount: Depending upon your state, there may be several options to insure your home for lower limits and/or less coverage.

Personal Property: You may also be able to purchase increased coverage for certain items of personal property. These items may include but are not limited to jewelry, watches, electronic data processing equipment, fine arts, firearms, silverware, and other collectibles.

Please contact me to discuss any of the coverages or options listed above.

Selected Definitions

Term	*Definitions*
Square Footage	The total square footage figure includes all floors of your home. IMPORTANT: It does NOT include any of the following: attached garage or built-in garage, carport, basement (even if fully finished), attached greenhouse, porches or decks, or any detached structures.
Dwelling Quality Grade	The following "definitions" are general guidelines. Your home can have elements of more than one specific Dwelling Quality Grade. Therefore, you should determine the Quality Grade by choosing the one that comes closest to describing your home. **Premium:** Unique style and/or shape which vary from the other homes in the area. They are typically very large homes, generally at least 5,000 square feet. Vaulted ceilings (9' - 12') typically throughout. Highest grade materials used throughout (countertops, cabinets, flooring, wall coverings etc.). Contains unique features such as wall safes, built-in movie theaters, and other luxury constructions. **Custom:** These homes can be recognized by the unique style and/or shape which vary from the other homes in the area. They are typically quite large homes. Custom homes are distinguished by style and shape as well as by the finishes, though they may contain both Above Average and/or Premium quality finishes. Includes features such as highly upgraded kitchen and bath countertops, floor and wall coverings, built-in bookshelves, and wet bars. **Above Average:** Tract style home construction with upgraded features. Home design is produced throughout the area. Many rooms, including the kitchen, bathrooms, and bedrooms have been upgraded from the standard construction design and have features that are made of higher quality materials. Typical designs include raised ceilings. Many upgraded features include the wall and floor coverings, lighting fixtures and kitchen and master bath countertops. **Standard:** Typical of common tract style home construction. Home design is produced throughout the area. Features come as part of the packaged construction design and are made of solid and quality conventional materials. Typical designs may include slightly higher ceilings with occasional vaulted ceilings. Some upgraded features but not prevalent.

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Economy: Basic home features and design. Simple construction layout and floor plan. Inexpensive fixtures and features. Lower grade, but functional, construction materials (for example: roofing, flooring, cabinets, and countertops).

25-8985 8-14

Farmers Insurance Group of Companies® Privacy Notice

FARMERS INSURANCE

This notice describes our privacy policies and procedures in safeguarding information about customers and former customers that obtain financial products or services for personal, family or household purposes. **Please note that if state law is more protective of an individual's privacy than federal privacy law, we will protect information in accordance with state law while also meeting federal requirements.**

Information we collect

We collect and maintain personal information to provide you with coverage, products or services and to service your account.

We collect certain information ("nonpublic personal information") about you and the members of your household ("you") from the following sources:

- Information you provide on applications or other forms, such as your social security number, assets, income and property information;
- Information about your transactions with us, our affiliates or others, such as your policy coverage, premiums and payment history;
- Information from your visits to farmers.com or other websites we operate, use of our mobile sites and application, use of our social media sites, and interaction with our online advertisements; and
- Information we receive from a consumer reporting agency or insurance support organization, such as motor vehicle records, credit report information and claims history; and
- If you obtain a life, long-term care or disability product, information we receive from you, medical professionals who have provided care to you and insurance support organizations regarding your health.

How we protect your information

We restrict access to personal information about you to individuals, such as our employees and agents, who provide you with our products and services. We require individuals with access to your customer information to protect it and keep it confidential. We maintain physical, electronic, and procedural safeguards that comply with applicable regulatory standards to guard your nonpublic personal information. We do not disclose any nonpublic personal information about you except as described in this notice.

Information we disclose

We may disclose the nonpublic personal information we collect about you, as described above, to companies that perform marketing services on our behalf or to other financial institutions with which we have joint marketing agreements and to other third parties, all as permitted by law. Many employers, benefit plans or plan sponsors restrict the information that can be shared about their employees or members by companies that provide them with products or services. If you have a relationship with Farmers or one of its affiliates as a result of products or services provided through an employer, benefit plan or plan sponsor, we will follow the privacy restrictions of that organization.

We are permitted to disclose personal health information:

(1) to process a transaction, for instance, to determine eligibility for coverage, to process claims or to prevent fraud;
(2) with your written authorization, and
(3) otherwise as permitted by law.

Sharing information with affiliates

The Farmers Insurance Group® of Companies includes affiliates that offer a variety of financial products and services in addition to insurance. Sharing information enables our affiliates to offer you a more complete range of products and services.

We may disclose nonpublic personal information, as described under **Information we collect**, to our affiliates, which include:

- Financial service providers such as insurance companies and reciprocals, investment companies, underwriters and brokers/dealers.
- Non-financial service providers, such as management companies, attorneys-in-fact and billing companies.

We are permitted by law to share information with our affiliates about our transactions with you. In addition, we may share consumer report information, such as information from credit reports and certain application information, received from you and from third parties, such as consumer reporting agencies and insurance support organizations.

Your choice

If you prefer that we not share consumer report information with our affiliates, except as otherwise permitted by law, you may request an Opt-Out Form by calling toll free, 1-800-327-6377, (please have all of your policy numbers available when requesting Opt-Out Forms). A form will be mailed to your attention, please verify that all of your Farmers policy numbers are listed and if not, please add them to the form. Once completed, mail it to the return address printed on the form. We will implement your request within a reasonable time after we receive the form.

If you decide not to opt-out or if you have previously submitted a request to opt-out on each of your policies, no further action is required.

Modifications to our privacy policy

We reserve the right to change our privacy practices in the future, which may include sharing nonpublic personal information with nonaffiliated third parties. Before we make any changes, we will provide you with a revised privacy notice and give you the opportunity to opt-out of that type of information sharing.

Website

Our website privacy notices contain additional information about website use. Please review those notices if you transmit personal information to Farmers over the Internet.

Recipients of this notice

While any policyholder may request a copy of this notice, we are providing this notice to the named policyholder residing at the mailing address to which we send your policy information. If there is more than one policyholder on a policy, only the named policyholder will receive this notice. You may receive more than one copy of this notice if you have more than one policy with Farmers. You also may receive notices from affiliates, other than those listed below.

More information about the federal laws

This notice is required by federal law. For more information, please visit farmers.com.

Signed

Farmers Insurance Exchange, Fire Insurance Exchange, Truck Insurance Exchange, Mid-Century Insurance Company, Farmers Insurance Company, Inc. (A Kansas Corp.); Farmers Insurance Company of Arizona, Farmers Insurance Company of Idaho, Farmers Insurance Company of Oregon, Farmers Insurance Company of Washington, Farmers Insurance of Columbus, Inc.; Farmers New Century Insurance Company, Farmers Group, Inc.; Farmers Reinsurance Company, Farmers Services Insurance Agency, Farmers Services Corporation, Farmers Texas County Mutual Insurance Company, Farmers Underwriters Association, Farmers Value Added, Inc.; Farmers Financial Solutions, LLC member FINRA & SIPC*; FFS Holding, LLC; Farmers Services, LLC; ZFUS Services, LLC; Leschi Life Assurance Company, FIG Holding Company, FIG Leasing Co., Inc.; Fire Underwriters Association, Illinois Farmers Insurance Company, Mid-Century Insurance Company of Texas, Prematic Service Corporation (California), Prematic Service Corporation (Nevada), Texas Farmers Insurance Company, Farmers New World Life Insurance Company, Truck Underwriters Association, Civic Property and Casualty Company, Exact Property and Casualty Company, Neighborhood Spirit Property and Casualty Company and Farmers Life Insurance Company of New York.

The above is a list of the affiliates on whose behalf this privacy notice is being provided. It is not a comprehensive list of all affiliates of the Farmers Insurance Group® of Companies.

* You may obtain more information about the Securities Investor Protection Corporation (SIPC) including the SIPC brochure by contacting SIPC at (202) 371-8300 or via the internet at www.sipc.org. For information about FINRA and Broker Check you may call the FINRA Broker Check hotline at (800) 289-9999 or access the FINRA website at www.finra.org.

Exchange Update

FARMERS INSURANCE

Dear Fellow Fire Insurance Exchange Member, Los Angeles, April 1, 2014

Fire Insurance Exchange is one of the insurers comprising Farmers Insurance Group®. Fire Insurance Exchange along with Farmers Insurance Exchange and Truck Insurance Exchange, and their subsidiaries and affiliates, provide automobile, homeowners, personal umbrella and business owners insurance. For more information, please visit farmers.com.

Recent Developments

- Farmers® nationally acclaimed University of Farmers® once again received high recognition placing in Training Magazine's Training Top 10 Hall of Fame as a result of four consecutive years in the Training 125's Top 10. Farmers joins in this honor with other prominent United States organizations. The award continues to reflect our goal of providing the best value and experience for Farmers customers.
- The e-policy or electronic availability of policy documents has improved customer experience and continued to expand in popularity with our customers in 2013.
- Farmers All Lines Billing continues to make it easier and more convenient for customers to pay their insurance premiums. Enhancements to farmers.com allow customers to pay multiple policies in a single transaction. Additionally, expanded credit card brand acceptance gives customers more options and freedom of choice.
- Farmers Insurance Group continues taking steps to expand into the Eastern United States. Eastern expansion will help increase our market presence from coast to coast and spread risks geographically so that a single disaster would have less impact on the Exchange.

Community Involvement

Farmers invests in three core philanthropic pillars: education, safety and civic programs, which serve to benefit a diverse cross-section of Americans. Through its various corporate sponsorships, such as the PGA TOUR's Farmers Insurance Open℠, Farmers supports a variety of programs that benefit the San Diego community. One beneficiary is "Blessings in a Backpack," a program which distributes backpacks filled with food to low-income school children as they head home for the weekend. Farmers is a key contributor to the Monarch School, a school designed to help homeless children succeed in life through education and other life needs. Farmers is a national sponsor of the American Red Cross Disaster Preparedness Program, where our partnership will educate citizens to be better prepared for future disasters. Within the Safety pillar, Farmers invests in driver safety and fire prevention programs. Examples of civic support include food drives, clothing drives and various Habitat for Humanity programs throughout the country. In 2013, Farmers made a community investment in Joplin, Missouri, helping the city recover from a devastating F5 tornado. Farmers recognized that many families were still without permanent homes two years after the storm. Farmers invested financial and people resources and will continue to do so in 2014. In addition, Farmers helped to author a Disaster Recovery Playbook which will help other communities recover more quickly from future disasters.

Your Voting Rights

As a member of Fire Insurance Exchange, you have the right to vote for representatives of the Exchange Board of Governors. Attached is a proxy postcard for your vote in our 2015 Annual Meeting of Members of Fire Insurance Exchange. You may vote in person at the meeting or you may appoint a proxy to act on your behalf by executing and returning this proxy postcard. Additional information on Fire Insurance Exchange can be found in the FAQs on the other side of this page.

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Privileged to Serve

For more than eight decades, Farmers Insurance Group has provided its customers with coverage options to help them manage risk and meet their insurance needs. We strive to deliver the best value and experience to every customer we're privileged to serve. Farmers appreciates your business and looks forward to continuing to earn your confidence for many years to come.

Sincerely,

Dale A. Marlin
Chair of the Board of Governors of Fire Insurance Exchange

You may return this form with your premium payment, or send it separately to the following address:

Fire Insurance Exchange
P.O. Box 51196
Los Angeles, CA 90061-5496

P R O X Y

FARMERS INSURANCE

01) **Gisselle Acevedo,** New Canan, CT
Ms. Acevedo is a consultant and the former President of a large non-profit organization in Los Angeles. She has held executive positions related to corporate communications, public affairs and strategic planning in the newspaper, telecommunications and transportation industries.

02) **Dennis J. Lorch,** Advance, MO
Mr. Lorch is a retired Farmers insurance agent and District Manager, having spent over 25 years recruiting and producing business for the Farmers organization. Mr. Lorch also previously served on the Board of Regents of the University of Farmers.

03) **Stanley R. Smith,** Lake Sherwood, CA
Mr. Smith is a retired Farmers Group, Inc. executive. During his career he held positions of increasing responsibility in the areas of Operations, Strategic Planning, and Legislative and Regulatory Affairs. He also formerly served on the Board of Regents of the University of Farmers.

Fire Insurance Exchange

DETACH AND RETURN THIS PORTION ONLY

Proxy for Annual Meeting of Members

Each policyholder is entitled to vote at the 2015 Annual Meeting of Members of Fire Insurance Exchange (the "Annual Meeting"). You may vote in person at the meeting or you may appoint a proxy to act on your behalf by executing and returning this proxy card. You may revoke your proxy at any time before it is voted at the Annual Meeting by submitting a written notice of revocation to the address on the reverse hereof or by filing a duly executed proxy bearing a later date. Your proxy will not be voted if you are present at the Annual Meeting and choose to vote in person.

Policyholders are being asked to vote upon the election of the following Class 3 Nominees to the Board of Governors of Fire Insurance Exchange. If elected, the Class 3 Nominees will serve on the Board of Governors through the 2019 Annual Meeting.

The undersigned hereby appoints Jeffrey J. Dailey and Doren E. Hohl, and each of them, with full power to act without the other and with full power of substitution, as the true and lawful attorneys and proxies of the undersigned, to attend the Annual Meeting of Members of Fire Insurance Exchange to be held at 4750 Wilshire Boulevard, Los Angeles, California, on Monday, March 16, 2015 at 10:00 A.M., and any adjournments thereof, and to vote with all powers the undersigned would possess as a member of Fire Insurance Exchange if personally present. The proxy, when properly executed, will be voted in the manner directed herein by the undersigned policyholder. If no specification is made, this proxy will be voted "For All" of the nominees listed.

THIS PROXY CARD IS VALID ONLY WITH SIGNATURE, DATE AND POLICY NUMBER.

ITEM 1. ELECTION OF GOVERNORS.
The Board of Governors recommends a vote "For All" of the Class 3 Nominees.

Class 3 Nominees: 02) Dennis J. Lorch
01) Gisselle Acevedo 03) Stanley R. Smith

Please select only one box:
☐ For All
☐ Withhold All
☐ For All Except

To withhold authority to vote for any individual nominee(s), mark "For All Except" and write the number(s) or name(s) of the nominee(s) for whom authority is withheld on the line below.

_____

ITEM 2. OTHER BUSINESS. In their discretion, the Proxies are authorized to vote upon such other business as may properly come before the meeting, or any adjournment thereof.

Signature (Please sign your name exactly as it appears on your Premium Notice) **Date** **Policy Number (Required)**

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Frequently asked questions

As a member of Fire Insurance Exchange, we want you to understand the basics of the operation of an Exchange because, as you will see below, you are an owner of the Exchange.

What is an Exchange?

An Exchange is an insurance organization, which operates in most ways like any other insurance company, but with a few key differences. Fire Insurance Exchange was organized under a provision in the California Insurance Code, which allows insureds to "exchange" policies with other insureds. Because the insureds cannot practically be involved in actually issuing policies, collecting premium, paying commissions to agents, etc., they appoint a third party - called an "attorney-in-fact" (AIF) - to perform those duties on their behalf for a fee. That appointment is made through a document called a "Subscription Agreement." You were asked to sign a Subscription Agreement at the time you applied for insurance with Fire Insurance Exchange and that is how you became a member (aka subscriber).

Who owns the Exchange?

You do. Subscribers of the Exchange are owners until such time as they no longer have insurance from the Exchange. Subscribers elect a Board of Governors which supervises the financial affairs of the Exchange and the performance of the AIF in conformity with the Subscription Agreement terms.

Why is an AIF fee paid to Fire Underwriters Association (FUA)?

Under the Subscription Agreement mentioned above, members appoint FUA to perform certain of the tasks, such as policy issuance and collection of premium, which are involved in running an insurance operation. The Subscription Agreement specifies an AIF fee of 25 percent of premium, although FUA has taken less than that amount.

What is FUA?

FUA is a wholly owned subsidiary of Farmers Group, Inc. (FGI), which is part of the Zurich Insurance Group, Ltd (ZIG), a Swiss company. Neither FUA, FGI nor ZIG has any ownership interest in Fire Insurance Exchange, which is owned by its subscribers (insureds).

How was your premium dollar spent by Fire Insurance Exchange in 2013?

Your premium dollar covers Exchange costs including losses incurred, acquisition costs, taxes, license fees, the AIF fee, and any contributions to surplus. For 2013, the AIF fee was 13.5 percent of the premium dollar, which included the AIF profit of 7.18 percent of the premium dollar for that year. The results of the Exchange were impacted by the large number of catastrophe losses but it still maintained a strong capital base with surplus of $721 million.

Can the Exchange lose money?

If premiums collected exceed claims payments and other expenses (including the fee for the AIF), then the Exchange retains those net premium earnings (as contributions to surplus). If premiums are not sufficient to cover claims and expenses, the Exchange will lose money. That's one reason it is important to build a cushion against possible future losses. The AIF does not participate in claims losses and does not enjoy any net premium earnings. Importantly, subscribers are not responsible for any losses the Exchange might suffer.

Where can I get more information about the Exchange?

You can go to www.farmers.com/about-us for most questions. If you have additional questions, please contact:

Subscriber Relations Office
Fire Insurance Exchange
Attn: Corporate Secretary
P.O. Box 51161
Los Angeles, CA 90051-5461